

THE NCA HUB

Examination Preparation

CANADIAN CIVIL PROCEDURE

PRACTICE QUESTIONS & MODEL ANSWERS

12 Examination-Grade Questions | Complete IRAC Model Answers | Examiner's Guides

Revised 2024 Syllabus | Aligned to Official Sample Exam Pattern

Companion to: NCA Civil Procedure Strategic Notes & Exam Templates

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HOW TO USE THESE PRACTICE QUESTIONS

These 12 practice questions are calibrated to the format, complexity, and mark allocation of the NCA Canadian Civil Procedure examination. The questions mirror the official five-question, 100-mark sample exam structure: commencing proceedings, consensual ADR, discovery, adversarial non-consensual disposition, and ten True/False sub-questions - with additional integrated multi-issue scenarios.

How to Practice

Attempt each question under timed exam conditions. Use the suggested time (approximately 1.8 minutes per mark). Write in full sentences. Cite specific Rule numbers (e.g., 'R. 20.04(2.1)'), the leading case (e.g., 'Hryniak v Mauldin, 2014 SCC 87'), and apply the rule to the specific facts.

Compare your answer to the model answer. Focus on: Did you identify the correct Rule? Did you cite the specific sub-rule? Did you apply each rule to the specific facts? Did you address the procedural steps in correct sequence?

Identify gaps and return to the Strategic Notes and Templates. Each gap represents a topic to review before the exam. The Civil Procedure Strategic Notes provide the doctrinal architecture; the Exam Templates provide the IRAC scaffolds; this Practice Q&A simulates the exam itself.

Key Exam Parameters

Format	Open-book. Hard copy materials only - no electronic devices permitted.
Duration	3 hours (180 minutes).
Pass Mark	50% - pass/fail grading system.
Mark Rate	Approximately 1.8 minutes per mark. A 20-mark question = 36 minutes; 30 marks = 54 minutes.
Citation Standard	Rule number + sub-rule + section reference + leading case. 'Under R. 20.04(2.1) and Hryniak v Mauldin (2014 SCC 87)...' earns marks; 'summary judgment is available' earns nothing.

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Q	TOPIC	MARKS	TIME
1	Commencing Proceedings - Limitations + Service + Forum (Van Breda)	20	36 min
2	Consensual ADR - R. 24.1 + Arbitration Act + Commercial Mediation Act	20	36 min
3	Discovery - Affidavit of Documents + Examinations + Privilege	20	36 min
4	Adversarial Disposition - R. 20 (Hryniak) + R. 21 + R. 19 + R. 25.11	20	36 min
5	Ten True/False Sub-Questions (sample exam Q5 pattern)	20	36 min
6	Pleadings - Striking, Particulars, Amendments (R. 25, R. 26)	15	27 min
7	Class Proceedings - Five-Part Certification (Hollick + AIC v Fischer)	20	36 min
8	Interlocutory Injunction (RJR-MacDonald) + Mareva + Anton Piller	20	36 min
9	Costs Framework - R. 49 Offers + R. 57 + Tariff A	15	27 min
10	Appeals - Final vs Interlocutory + CJA ss.6, 19 + Standard of Review	15	27 min
11	Joinder, Third Parties & Subsidiary Claims (RR. 5, 27, 28, 29)	15	27 min
12	Full Exam Simulation - Multi-Issue Trial Lifecycle	30	54 min

⚠ **CRITICAL - RULE NUMBER + LEADING CASE + APPLICATION**

The NCA Civil Procedure exam markers reward precision. The official examiner direction is that **‘reference must always be made to the Rules, statutes, and cases’** - failure to do so will negatively affect the grade. Every rule statement in every answer should pair the Rule number, the sub-rule, and the leading case with the specific facts of the question. This single habit is worth 15–20 marks across the exam.

QUESTION 1 OF 12

Primary Topic	Commencing Proceedings - Limitations, Service, Jurisdiction
Secondary Topics	Limitations Act 2002; R. 14 (originating process); R. 16/17 (service); Van Breda 2012 SCC 17
Difficulty	Medium
Suggested Time	36 Minutes
Mark Value	20 Marks

FACT PATTERN

On June 15, 2024, Sandeep Reddy was injured in a motor vehicle accident in Mississauga, Ontario. The other driver, Marie-Claire Dubois, fled the scene but was identified through her licence plate. Sandeep retained counsel in March 2025. Investigation revealed that Marie-Claire was a domiciliary of Quebec at the time of the accident and has continued to reside there. Sandeep is a permanent resident of Ontario. Counsel issued a Statement of Claim in the Ontario Superior Court of Justice on June 12, 2026 - three days before the second anniversary of the accident. Marie-Claire has now been served at her Montreal residence by registered mail. She has retained counsel in Montreal who has filed a Notice of Intent to Defend on her behalf and now brings a motion to (a) stay the proceedings on the basis that Ontario lacks jurisdiction and Quebec is the appropriate forum; and (b) strike service as improper outside Canada. Sandeep wishes to proceed in Ontario and resists both branches of the motion.

YOUR TASK

- (a) Was the Statement of Claim issued within the limitation period under the Limitations Act, 2002? (4 marks)
- (b) Does the Ontario Superior Court of Justice have jurisdiction simpliciter over Marie-Claire under the Van Breda framework? (8 marks)
- (c) If jurisdiction simpliciter exists, should the court stay the proceedings on forum non conveniens grounds? (4 marks)
- (d) Was service in Quebec by registered mail proper under the Rules? (4 marks)

EXAMINER'S GUIDE

Issues tested: (a) Limitations Act 2002 s.4 (basic 2-year period from discoverability), s.5 (discoverability); *Peixeiro v Haberman* (1997). (b) *Club Resorts Ltd v Van Breda*, 2012 SCC 17 - four presumptive connecting factors; tort committed in Ontario = factor (b); refined in *Sinclair v Amex Canada* (2025 SCC) on rebuttal. (c) Forum non conveniens - Van Breda factors: convenience, expense, applicable law, parallel proceedings, juridical advantage. (d) R. 17.02 service outside Ontario without leave - (h) tort committed in Ontario; R. 16.03 modes of service.

Cases MUST cite: Limitations Act, 2002, ss.4, 5; *Peixeiro v Haberman*, [1997] 3 SCR 549; *Club Resorts Ltd v Van Breda*, 2012 SCC 17; *Sinclair v Amex Canada*, 2025 SCC; R. 17.02; R. 16.03.

Time allocation: (a) 7 min | (b) 14 min | (c) 7 min | (d) 8 min.

Part (a) - Limitations Act, 2002 (4 marks)

ISSUE

The issue is whether Sandeep's Statement of Claim, issued on June 12, 2026, was filed within the basic two-year limitation period under the Limitations Act, 2002.

RULE

Limitations Act, 2002, s.4: A proceeding shall not be commenced after the second anniversary of the day on which the claim was discovered.

s.5(1): A claim is discovered on the earlier of (a) the day the person first knew of the injury, loss or damage, that it was caused by an act or omission, that the act or omission was that of the defendant, and that a proceeding would be an appropriate remedy; and (b) the day a reasonable person with the abilities and circumstances of the claimant first ought to have known of those matters.

s.5(2): A person is presumed to have known of those matters on the day the act or omission took place, unless the contrary is proved.

Authority: *Peixeiro v Haberman*, [1997] 3 S.C.R. 549 - the limitation clock runs from when the claimant knew or ought to have known of the material facts; *Grant Thornton LLP v New Brunswick*, 2021 SCC 31 - 'discoverability' means knowledge of a plausible inference of liability.

APPLICATION - Discoverability and Issuance Date

Because the accident occurred on June 15, 2024 and the injury was immediately apparent (Sandeep was injured at the scene), the claim was discovered on June 15, 2024 under s.5 - the s.5(2) presumption applies and is not displaced by any latent injury argument. The Statement of Claim was issued on June 12, 2026 - three days before the second anniversary (June 15, 2026). Issuance, not service, is the act that commences the proceeding under R. 14.08(1) for limitations purposes.

The proceeding is therefore commenced **within** the two-year limitation period under s.4.

CONCLUSION

The Statement of Claim was issued on June 12, 2026, three days before the second anniversary of the accident on June 15, 2024. The two-year basic limitation period under Limitations Act, 2002 s.4 is met.

Part (b) - Jurisdiction Simpliciter Under Van Breda (8 marks)

ISSUE

The issue is whether the Ontario Superior Court of Justice has jurisdiction simpliciter over the action against Marie-Claire, a Quebec resident, applying the four presumptive connecting factors in *Club Resorts Ltd v Van Breda*, 2012 SCC 17.

RULE

Club Resorts Ltd v Van Breda, 2012 SCC 17 (LeBel J., unanimous): To establish a real and substantial connection between Ontario and the action, the plaintiff must demonstrate at least one of four presumptive connecting factors: (a) the defendant is domiciled or resident in Ontario; (b) the defendant carries on business in Ontario; (c) the tort was committed in Ontario; or (d) a contract connected with the dispute was made in Ontario.

Effect of presumption: Once a presumptive connecting factor is established, jurisdiction is presumed. The defendant may rebut the presumption by showing that the connection between Ontario and the action is, in fact, weak.

Refinement - Sinclair v Amex Canada, 2025 SCC: The Supreme Court refined the rebuttal stage - a defendant must show the presumptive factor produces only a weak connection on the specific facts; mere inconvenience is insufficient.

APPLICATION - Applying the Four Factors

Factor (a) - Defendant's domicile/residence: Marie-Claire is domiciled in Quebec and has resided

there throughout. **Not satisfied.**

Factor (b) - Carrying on business in Ontario: No facts indicate Marie-Claire carries on business in Ontario. **Not satisfied.**

Factor (c) - Tort committed in Ontario: The motor vehicle accident occurred in Mississauga, Ontario, on June 15, 2024. The tort was committed in the place where the negligent driving caused the collision - Ontario. **Satisfied.** This is the squarely applicable factor.

Factor (d) - Contract connected with the dispute made in Ontario: No contract is at issue; this is a tort claim. **Not satisfied.**

Rebuttal stage: Marie-Claire might argue that the tort-in-Ontario factor produces only a weak connection because she has since returned to Quebec, has no other Ontario connections, and the parties' ongoing lives are centred elsewhere. This argument is unlikely to succeed: under *Sinclair v Amex Canada* (2025 SCC), the rebuttal must show that the presumptive factor produces a weak connection on the specific facts. Where a tort is committed within the province, the connection is generally strong - the place of the wrong has historic and substantive significance to the dispute. Witnesses, accident-reconstruction evidence, the police report, and Sandeep's medical records are all in Ontario.

CONCLUSION

Jurisdiction simpliciter is established under Van Breda factor (c) - the tort was committed in Ontario. The presumption is unlikely to be rebutted under the *Sinclair v Amex Canada* refinement. Ontario has jurisdiction simpliciter.

Part (c) - Forum Non Conveniens (4 marks)

ISSUE

The issue is whether the Ontario court should decline jurisdiction in favour of Quebec on the ground that Quebec is the more convenient forum.

RULE

Forum non conveniens (Van Breda, paras 102–112): Even where jurisdiction simpliciter exists, the court has discretion to stay the proceeding if the defendant establishes that the alternative forum is **clearly more appropriate**. Factors include: (a) location of parties; (b) location of witnesses and evidence; (c) the law applicable to the dispute; (d) any parallel proceedings in another jurisdiction; (e) any juridical advantage or disadvantage.

Burden: On the defendant. The plaintiff's choice of forum is to be respected unless the alternative is **clearly** more appropriate - mere convenience equality is not enough.

APPLICATION - Balancing the Factors

Location of parties: Sandeep is in Ontario; Marie-Claire is in Quebec - split.

Witnesses and evidence: The accident occurred in Mississauga; Ontario police investigation; Sandeep's ongoing Ontario medical treatment - weighs **strongly in favour of Ontario**.

Applicable law: Tort committed in Ontario - *lex loci delicti* = Ontario law. Weighs **in favour of Ontario** (the local court applying its own law).

Parallel proceedings: None in Quebec.

Juridical advantage: No significant Ontario juridical advantage that would not be available in Quebec.

On balance, Quebec is **not clearly more appropriate** than Ontario. The location of evidence, applicable law, and the place of the wrong all favour Ontario. The motion to stay should be dismissed.

CONCLUSION

Forum non conveniens is not established. Marie-Claire has not shown that Quebec is clearly the more appropriate forum. The Ontario action proceeds.

Part (d) - Service Outside Ontario (4 marks)

ISSUE

The issue is whether service on Marie-Claire in Montreal by registered mail was proper without leave under R. 17.

RULE

R. 17.02: An originating process may be served outside Ontario without leave in any of 18 enumerated categories, including (h) **a proceeding in respect of a tort committed in Ontario.**

R. 16.03(4): A defendant may be served with an originating process anywhere in Canada by sending a copy by registered mail to the defendant's last known address, provided the defendant signs a post office receipt or other acknowledgement.

Sufficient service requires both: (a) authority to serve outside Ontario without leave under R. 17.02 (or with leave under R. 17.03); and (b) a method of service permitted under R. 16.

APPLICATION - Service Analysis

Because the action is in respect of a tort (motor vehicle accident) committed in Ontario, service outside Ontario is permitted **without leave** under R. 17.02(h). The category-based authority is established.

Service was effected by registered mail to Marie-Claire's Montreal residence. Under R. 16.03(4), service by registered mail anywhere in Canada is permitted, provided receipt is acknowledged. Marie-Claire has retained counsel and filed a Notice of Intent to Defend, which acts as deemed notice and confirms receipt.

Service was therefore proper. Marie-Claire's motion to strike service fails.

CONCLUSION

Service in Quebec by registered mail was proper without leave under R. 17.02(h) (tort committed in Ontario) using the registered-mail mode under R. 16.03(4). The motion to strike service is dismissed. Marie-Claire must file her Statement of Defence within the extended period applicable to service elsewhere in Canada under R. 18.01(b) - 40 days.

QUESTION 2 OF 12

Primary Topic	Consensual ADR - Within the Rules and Outside the Rules
Secondary Topics	R. 24.1 mandatory mediation; Arbitration Act 1991; Commercial Mediation Act 2010; settlement privilege
Difficulty	Medium
Suggested Time	36 Minutes
Mark Value	20 Marks

FACT PATTERN

Apex Distribution Inc. ('Apex'), an Ontario corporation based in Toronto, entered into a five-year exclusive distribution agreement with Solaris Manufacturing Ltd. ('Solaris'), an Ontario corporation based in Mississauga. Two years into the agreement, Apex alleges that Solaris has been supplying competing distributors in violation of the exclusivity clause. Apex calculates damages of \$850,000 in lost profits. Solaris denies the allegations and counter-claims that Apex has fallen behind on its purchase commitments. Both parties wish to preserve the ongoing commercial relationship. The agreement contains no arbitration or mediation clause. Apex has commenced proceedings in the Ontario Superior Court of Justice in Toronto. Solaris has filed a Statement of Defence and Counterclaim. The parties' lawyers wish to advise on all consensual dispute resolution options - both within the Rules of Civil Procedure and outside them.

YOUR TASK

Describe the consensually-based dispute resolution processes available to Apex and Solaris, both as part of the formal Rules and separate from the Rules. Identify the procedural steps, statutory framework, and confidentiality protections for each. Make a specific recommendation as to which process is most appropriate for this dispute and why. (20 marks)

EXAMINER'S GUIDE

Issues tested: (a) Within the Rules - R. 24.1 mandatory mediation (Toronto, Ottawa, Windsor only) and R. 49 offers. (b) Outside the Rules - statutory: Arbitration Act, 1991, s.7 stay; Commercial Mediation Act, 2010 (UNCITRAL Model Law) confidentiality and enforcement of mediated settlements. (c) Common law: settlement negotiation; settlement privilege under *Lizotte v Aviva* 2016 SCC 52 and *Union Carbide Canada Inc v Bombardier Inc* 2014 SCC 35.

Cases MUST cite: R. 24.1.04 (geographic application); R. 24.1.09 (180-day timing); R. 24.1.14 (confidentiality); Arbitration Act, 1991, S.O. 1991, c.17, ss.2, 7, 50; Commercial Mediation Act, 2010, S.O. 2010, c.16, Sch. 3, ss.9, 12; *Lizotte v Aviva Insurance Co. of Canada*, 2016 SCC 52; *Union Carbide Canada Inc v Bombardier Inc*, 2014 SCC 35; R. 49.10 cost consequences.

Structure: Sample exam Q2 expects the answer to address (1) mandatory rules-based process - R. 24.1; (2) settlement-incentive within the rules - R. 49; (3) statutory ADR - arbitration and commercial mediation; (4) common-law options - negotiation; (5) recommendation tied to the facts. Each section: 2–3 sentences with statutory cite + key feature.

Within the Rules - Court-Annexed Processes

ISSUE

Two consensually-based processes exist within the Rules of Civil Procedure: mandatory mediation under R. 24.1 (in three named geographic regions) and structured settlement offers with cost consequences under R. 49.

RULE

R. 24.1 - Mandatory mediation. R. 24.1.04: Mandatory mediation applies to all civil actions in **Toronto, Ottawa, and the County of Essex (Windsor)** - with limited exemptions for Commercial List actions, family proceedings, and certain other categories. R. 24.1.09: Mediation must be held within **180 days after the first defence is filed**, unless the court orders otherwise.

Selection of mediator (R. 24.1.08): Parties may select from the local Mediation Coordinator's roster or any agreed mediator. Default selection by the Coordinator if parties do not agree.

Statement of Issues (R. 24.1.10): Each party files a Statement of Issues at least seven days before the mediation, setting out their position, settlement views, and key documents.

Confidentiality (R. 24.1.14): All communications at the mediation and the mediator's notes are deemed confidential and may not be used subsequently except with consent.

Sanctions (R. 24.1.13): Failure to attend may result in cost orders and other procedural sanctions.

R. 49 - Offers to settle. R. 49.02 permits a party to serve a written offer (Form 49A) at any time. R. 49.10 imposes specific cost consequences: (1) where a plaintiff's offer is made at least seven days before hearing, not withdrawn, and the plaintiff obtains a result as favourable as or more favourable than the offer, the plaintiff is entitled to **partial indemnity costs to the date of the offer and substantial indemnity costs from that date** - the 'beat your own offer' cost premium; (2) where a defendant's offer is rejected and the plaintiff obtains a result as favourable as or less favourable, the defendant is entitled to partial indemnity costs from the date of offer.

Outside the Rules - Statutory ADR

RULE

Arbitration Act, 1991, S.O. 1991, c. 17. Section 2: Applies to all arbitrations conducted under an arbitration agreement, except where the parties have expressly excluded the Act or where international commercial arbitration legislation applies. Section 7: If a party to an arbitration agreement commences a court proceeding in respect of a matter to be submitted to arbitration, the court **shall stay the proceeding** on motion of another party, subject to limited exceptions (invalid agreement, matter not arbitrable, undue delay). Section 50: An arbitral award may be enforced as a judgment of the Superior Court. Sections 45–46: Limited judicial review - appeal on questions of law with leave; setting aside on narrow grounds (corruption, procedural unfairness, jurisdiction).

Commercial Mediation Act, 2010, S.O. 2010, c. 16, Sch. 3 (UNCITRAL Model Law). Applies to commercial mediations agreed in writing. Section 9: Information obtained in the course of mediation may not be used in subsequent legal proceedings, with limited exceptions (consent, criminal proceedings). Section 12: A mediated settlement agreement made in accordance with the Act may be enforced as a contract or registered with the Superior Court for enforcement as a judgment.

Settlement privilege at common law. *Lizotte v Aviva Insurance Co. of Canada*, 2016 SCC 52 - settlement privilege is a class privilege; communications made in the course of bona fide settlement negotiations are inadmissible. *Union Carbide Canada Inc. v Bombardier Inc.*, 2014 SCC 35 - mediation communications are protected by settlement privilege unless the parties contractually displace it, and even contracts must be clear to do so.

Application to Apex and Solaris

APPLICATION - Mapping the Options to the Dispute

R. 24.1 mandatory mediation: Apex is in Toronto. Mediation is mandatory under R. 24.1.04. Within 180 days of Solaris's defence, the parties must engage a roster mediator (or any agreed mediator), exchange Statements of Issues, and attend a confidential mediation. This is the default rules-based process.

R. 49 offers to settle: Either party may serve a structured offer. Given the parties' ongoing commercial relationship and the bilateral nature of the dispute (claim and counterclaim), an offer that resolves both in a single payment with mutual releases would be appropriate. The cost-consequence regime under R. 49.10 incentivises both sides to make and consider reasonable offers - if Apex obtains a judgment as favourable as its offer, it gets substantial-indemnity costs from the offer date.

Arbitration: The agreement contains no arbitration clause, and the proceeding has already been commenced. The parties could nonetheless agree, by way of a written submission to arbitration, to refer the dispute (or specific issues such as quantum) to a private arbitrator under the Arbitration Act, 1991. Advantages: confidentiality, specialist arbitrator, faster, no public docket. Disadvantage: limited appeal rights.

Commercial mediation under the Commercial Mediation Act, 2010: Particularly suitable here. Both parties wish to preserve the ongoing relationship; mediation is non-binding and facilitative; settlement is enforceable under s.12 of the Act once reduced to writing; communications are confidential under s.9. Compared to R. 24.1, a private commercial mediation gives the parties full choice of mediator, location, and process - with the same enforceability.

CONCLUSION

Recommendation: For Apex and Solaris, the optimal strategy is a layered consensual approach.

First, engage in commercial mediation under the Commercial Mediation Act, 2010 - either as a substitute for, or in advance of, the R. 24.1 mandatory mediation deadline. The Commercial Mediation Act regime provides confidentiality (s.9), enforceability (s.12), and freedom of mediator selection that match the parties' commercial sophistication and shared interest in preserving the relationship. **Second**, if mediation does not resolve, exchange R. 49 offers to settle to crystallise cost consequences and incentivise compromise. **Third**, if a binding determination is required and litigation has become protracted, the parties may agree by written submission to refer the residual issues (e.g., quantum) to arbitration under the Arbitration Act, 1991, leveraging s.7 to stay the court proceeding. Direct negotiation, protected by settlement privilege under *Lizotte* and *Union Carbide*, is always available alongside any of these options.

QUESTION 3 OF 12

Primary Topic	Discovery - Documents, Examinations, Privilege, Proportionality
Secondary Topics	R. 30 (affidavit of documents); R. 31 (oral exam); R. 30.1 (deemed undertaking); R. 29.2 (proportionality); Pritchard, Blank, Smith v Jones
Difficulty	Hard
Suggested Time	36 Minutes
Mark Value	20 Marks

FACT PATTERN

Atlantic Foods Ltd. ('Atlantic') is suing Northern Distribution Corp. ('Northern') in the Ontario Superior Court of Justice for \$4 million in damages arising from spoiled inventory allegedly caused by Northern's failure to maintain refrigerated warehousing. Pleadings closed on March 1, 2026. Atlantic's counsel learns of the existence of the following materials: (1) internal Northern emails between operations managers discussing temperature failures in the warehouse; (2) a memo from Northern's in-house counsel to its management advising on potential exposure; (3) an external engineering report commissioned by Northern's litigation counsel after Atlantic's claim was filed, addressing the warehouse refrigeration system; (4) routine inspection records that Northern destroyed in 2024 in the regular course of its document retention policy; (5) settlement discussions held between Atlantic and Northern's former president (no longer with the company) before pleadings closed. Northern is also resisting Atlantic's request to examine three Northern employees in addition to the operations vice-president whom Atlantic has already nominated for examination. Northern argues that examining additional employees is improper without leave.

YOUR TASK

Advise Atlantic on the discovery process. Specifically: (a) describe the documentary discovery process under R. 30, including the proper treatment of items (1)–(5); (b) explain the rules governing oral examinations and address Northern's objection to examining additional employees; and (c) identify what privilege claims Northern may make and the standards they must meet. (20 marks)

EXAMINER'S GUIDE

Issues tested: (a) R. 30.02 disclosure scope; R. 30.03 affidavit of documents (Form 30A/30B) within 10 days of close of pleadings; three Schedules - A produced, B privileged, C formerly possessed; R. 30.07 continuing duty; R. 30.08 sanctions. (b) R. 31.03(2) one representative per corporate party; leave to examine additional employees - Famous Players (1991 Div Ct); Rupani v Willett 2023 ONSC 3743. R. 31.05.1 seven-hour cap. (c) Privileges: solicitor-client (Pritchard 2004 SCC 31), litigation privilege (Blank 2006 SCC 39), settlement privilege (Lizotte 2016 SCC 52; Union Carbide 2014 SCC 35), Smith v Jones [1999] 1 SCR 455 public-safety override. R. 30.1 deemed undertaking.

Cases MUST cite: Pritchard v Ontario (Human Rights Commission), 2004 SCC 31; Blank v Canada (Minister of Justice), 2006 SCC 39; Lizotte v Aviva, 2016 SCC 52; Smith v Jones, [1999] 1 SCR 455; Famous Players Development Corp. v Central Capital Corp. (1991), 6 O.R. (3d) 765 (Div. Ct.); R. 30.02; R. 30.03; R. 30.07; R. 30.1.01; R. 31.03; R. 31.10.

Part (a) - Documentary Discovery Under R. 30 (8 marks)

ISSUE

The issue is the documentary discovery process under R. 30 and the proper Schedule treatment of items (1) through (5).

RULE

R. 30.02: Each party shall disclose every document **relevant** to any matter in issue that is or has been in the party's possession, control, or power. Relevance is broad - documents that may directly or indirectly enable a party to advance its case or damage the opposing case, or that may fairly lead to a chain of inquiry.

R. 30.03: Each party serves an affidavit of documents (Form 30A for individuals; Form 30B for corporations and parties under disability) **within 10 days after close of pleadings**, unless the parties' R. 29.1 discovery plan provides otherwise. The affidavit lists documents in three Schedules: **Schedule A** - documents to be produced for inspection; **Schedule B** - documents for which privilege is claimed (described, with grounds stated, but not produced); **Schedule C** - documents formerly in possession (with explanation of what became of them).

R. 30.07: Continuing duty - a document discovered subsequently must be disclosed forthwith. **R.**

30.08: A party who fails to disclose may not use the document at trial except with leave; the court may also strike pleadings, dismiss the action, or impose costs.

R. 30.1.01 - Deemed undertaking: Discovery materials may be used only in the proceeding in which they are obtained, except with consent or court order.

APPLICATION - Item-by-Item Schedule Treatment

(1) Internal Northern emails on temperature failures - highly relevant under R. 30.02 (directly probative of Northern's breach). **Schedule A** - produced for inspection. No privilege applies; ordinary business communications are not privileged simply because they may be embarrassing.

(2) Memo from Northern's in-house counsel advising management on exposure - a confidential communication between counsel (in-house counsel acting in legal capacity) and the corporate client, made for the purpose of giving legal advice. **Schedule B - solicitor-client privilege** under Pritchard v Ontario, 2004 SCC 31. The privilege is permanent and class-based; the existence and date of the document are listed, with 'solicitor-client privilege' stated as the ground.

(3) Engineering report commissioned by litigation counsel after the claim was filed - created for the dominant purpose of contemplated or actual litigation. **Schedule B - litigation privilege** under Blank v Canada, 2006 SCC 39. The report is described and the ground stated. Note: litigation privilege ends with the litigation that gave rise to it (unlike solicitor-client privilege, which is permanent).

(4) Inspection records destroyed in 2024 in regular course - documents formerly in Northern's possession but no longer in its possession. **Schedule C** - with explanation: 'destroyed in regular course of business under records retention policy.' Atlantic may challenge whether destruction was reasonable or whether spoliation has occurred (St. Louis v Canada 1896 SCC - adverse inference from destroyed evidence).

(5) Settlement discussions with former president before pleadings closed - protected by **settlement privilege** under Lizotte v Aviva 2016 SCC 52 (a common-law class privilege). Atlantic may not include those communications in its production demands; Northern would refuse production on settlement-privilege grounds. The privilege applies even though the former president no longer represents Northern - it attaches to the communications, not to ongoing employment.

CONCLUSION

Atlantic and Northern each serve a Form 30B affidavit of documents within 10 days of close of pleadings under R. 30.03. The five items are properly classified: (1) Schedule A; (2) Schedule B - solicitor-client privilege; (3) Schedule B - litigation privilege; (4) Schedule C with destruction explanation; (5) Schedule B - settlement privilege (or omitted as protected at common law). Northern's duty is continuing under R. 30.07; failures attract R. 30.08 sanctions. All discovery material is subject to the R. 30.1.01 deemed undertaking.

Part (b) - Oral Examinations (6 marks)

ISSUE

The issue is whether Atlantic may examine three additional Northern employees beyond the operations vice-president, and the procedure governing oral examinations under R. 31.

RULE

R. 31.03(1): A party may examine for discovery any other party adverse in interest - once.

R. 31.03(2): Where the party to be examined is a corporation, the examining party may examine **any officer, director, or employee on behalf of the corporation** - the examining party chooses.

Generally only one person on behalf of a corporate party. Leave to examine more than one may be granted where (a) satisfactory answers cannot be obtained from one person without undue expense and inconvenience, AND (b) examination of more than one would likely expedite the conduct of the action.

R. 31.05.1 - Time cap: Seven hours of examination total per examining party for the entire action, regardless of the number of parties or persons examined, except with consent or leave. Three hours under simplified procedure (R. 76.04(2)).

R. 31.06 - Scope: A person examined shall answer any proper question relating to any matter in issue, including the names of persons with knowledge, the existence of documents, and the findings of experts engaged by the party (subject to privilege).

Famous Players Development Corp. v Central Capital Corp. (1991), 6 O.R. (3d) 765 (Div. Ct.): Leave to examine non-parties under R. 31.10 requires actual or constructive refusal by the party-witness to obtain the information; **Rupani v Willett, 2023 ONSC 3743** - same principle applied to distinguish proper requests from 'examination shopping'.

APPLICATION - Atlantic's Examination Strategy

Atlantic has selected the operations vice-president as the corporate representative under R. 31.03(2). This is Atlantic's **one** examination of Northern as a corporate party as of right.

To examine three additional employees, Atlantic must move for leave under R. 31.03(2). Atlantic must demonstrate that (a) it cannot obtain satisfactory answers from the vice-president alone without undue expense or inconvenience - e.g., the additional employees have direct, specific knowledge that the vice-president lacks (the warehouse-floor staff who actually monitored temperature controls); and (b) the additional examinations will expedite, not delay, the action.

Northern is correct that examining additional employees is **not available as of right** - leave is required. However, Atlantic's motion is likely to succeed in part if the additional employees have unique operational knowledge (e.g., one specific employee who logged the temperature failures and another who serviced the refrigeration system). The court will refuse leave for examinations that are duplicative or aimed at attrition.

Atlantic must also remain within the seven-hour aggregate cap under R. 31.05.1 - distributed across all examinations of all corporate representatives - unless the parties consent or the court grants extension.

CONCLUSION

Atlantic's examination of the operations vice-president is its corporate examination as of right. Examining additional employees requires leave under R. 31.03(2), with the burden on Atlantic to show inability to obtain information from one person and that further examinations will expedite. Northern is correct that further examinations are not automatic, but its blanket objection is not a complete answer - the court will examine each proposed additional examination individually.

Part (c) - Privilege Standards (6 marks)

ISSUE

The issue is the privileges Northern may invoke and the standards each privilege must meet.

RULE

Solicitor-client privilege - Pritchard v Ontario (Human Rights Commission), 2004 SCC 31.

Confidential communications between lawyer and client made for the purpose of seeking or giving legal advice. Class privilege; quasi-substantive right. Permanent. Breached only by clear narrow exceptions - crime/fraud exception; statutory abrogation by clear and unequivocal language (Canada (Privacy Commissioner) v Blood Tribe Department of Health, 2008 SCC 44).

Litigation privilege - Blank v Canada (Minister of Justice), 2006 SCC 39. Communications and documents created for the **dominant purpose** of contemplated or actual litigation. Distinct purpose from solicitor-client - protects the adversarial process, not the lawyer-client relationship. **Ends with the litigation that gave rise to it.**

Settlement privilege - Lizotte v Aviva Insurance Co. of Canada, 2016 SCC 52. Class privilege protecting bona fide settlement communications. **Union Carbide Canada Inc. v Bombardier Inc., 2014 SCC 35** - mediation privilege applies absent clear contractual displacement.

Public-safety exception - Smith v Jones, [1999] 1 S.C.R. 455. Solicitor-client privilege may be set aside where there is a **clear, serious, and imminent** threat to identifiable persons or groups.

APPLICATION - Privilege Claims Northern Will Assert

Item (2) - in-house counsel memo: solicitor-client privilege under Pritchard. Standards: (i) confidentiality maintained; (ii) lawyer-client communication; (iii) purpose was legal advice (not business advice). For in-house counsel, the lawyer must be acting in their legal capacity - routine business advice without legal content does not attract privilege. Northern bears the burden of establishing the privilege element-by-element.

Item (3) - engineering report: litigation privilege under Blank. Standard: dominant purpose of contemplated or actual litigation, established at the time the document was created. Because the report was commissioned **after** Atlantic's claim was filed and by litigation counsel, dominant purpose is straightforwardly satisfied. Note that litigation privilege ends with the conclusion of the proceeding (Blank).

Item (5) - settlement discussions: settlement privilege under Lizotte. The communications must have been made in the course of bona fide settlement negotiations. The privilege is class-based and applies regardless of whether settlement was reached.

Atlantic's response to privilege claims: Atlantic may move under R. 30 for production challenging the privilege claim, with the court conducting an in-camera review of the document if appropriate. The Smith v Jones public-safety exception does not apply - there is no imminent threat of harm.

CONCLUSION

Northern will assert solicitor-client privilege over item (2), litigation privilege over item (3), and settlement privilege over item (5). Each privilege has a distinct standard and Northern bears the burden of proof. Atlantic may challenge privilege via in-camera review. All discovery material remains subject to the R. 30.1.01 deemed undertaking.

QUESTION 4 OF 12

Primary Topic	Adversarial Disposition Without Trial - R. 20, R. 21, R. 19, R. 25.11
Secondary Topics	Hryniak v Mauldin 2014 SCC 87; R. 20.04(2.1)/(2.2); R. 21.01; R. 19; R. 25.11
Difficulty	Hard
Suggested Time	36 Minutes
Mark Value	20 Marks

FACT PATTERN

Vector Systems Inc. ('Vector') commenced an action in the Ontario Superior Court of Justice against Mercury Logistics Ltd. ('Mercury') and its principal, Mr. Anil Patel, for breach of a software services contract. The Statement of Claim alleges that Mercury failed to make \$480,000 in milestone payments and that Mr. Patel personally guaranteed the obligations in writing. Vector seeks judgment for \$480,000, interest, and a declaration that Mr. Patel's personal guarantee is enforceable. The contract, the milestone schedule, and the personal guarantee are documentary evidence in Vector's possession; Mercury concedes the contract and acknowledges the milestones were not paid but disputes that the work was completed to the contractual standard. Mr. Patel's defence simply states: 'the personal guarantee is invalid for vagueness' - with no further particulars. The action has been pleaded for six months. Mr. Patel has failed to attend any case-management appointment and his Statement of Defence is two months overdue - he has not been formally noted in default. Vector has come to you for advice on the most efficient ways to dispose of the action without a full trial.

YOUR TASK

Advise Vector on all the available adversarial mechanisms for disposing of the action without a full trial. For each mechanism, identify the procedural rule, the test, and how it applies to the facts. Recommend the optimal sequence of motions. (20 marks)

EXAMINER'S GUIDE

Issues tested: Four mechanisms: (1) R. 20 summary judgment under Hryniak; (2) R. 21 determination of an issue / striking for no reasonable cause; (3) R. 19 noting in default and default judgment; (4) R. 25.11 striking pleadings for impropriety. Plus R. 2.1 frivolous proceedings.

Cases MUST cite: Hryniak v Mauldin, 2014 SCC 87 (two-stage test, R. 20.04(2.1) enhanced powers, R. 20.04(2.2) mini-trial); Hunt v Carey Canada Inc., [1990] 2 S.C.R. 959 (plain and obvious standard); R. v Imperial Tobacco Canada Ltd., 2011 SCC 42; Mountain View Farms Ltd. v McQueen, 2014 ONCA 194 (setting aside default).

Structure: Map each tool, then sequence them by efficiency: R. 19 against Mr. Patel; R. 20 against Mercury on the contract claim; R. 25.11 or R. 21 against Mr. Patel's vague defence.

Mechanism 1 - R. 19 Default Against Mr. Patel

ISSUE

Whether Vector can note Mr. Patel in default and obtain default judgment given his failure to deliver a Statement of Defence.

RULE

R. 18.01: Statement of Defence must be served and filed within 20 days of service in Ontario (extended to 30 days if a Notice of Intent to Defend was delivered).

R. 19.01: On filing proof of service of the Statement of Claim, the plaintiff may require the registrar to

note the defendant in default.

R. 19.02 - Effect: A defendant noted in default is deemed to admit all allegations of fact in the Statement of Claim and may not deliver a Defence or take any further step except by leave or consent.

R. 19.04 - Default judgment for liquidated demand: For debt or sum certain, plaintiff may file an affidavit of debt with the registrar and obtain judgment without a motion. **R. 19.05 - Unliquidated:** Plaintiff must move for judgment; damages assessed at hearing.

R. 19.03 - Setting aside: Defendant may move to set aside; **Mountain View Farms Ltd. v McQueen, 2014 ONCA 194** - the court considers (i) promptness, (ii) plausible explanation, (iii) arguable defence on the merits.

APPLICATION - Applying R. 19 to Mr. Patel

Mr. Patel's defence is two months overdue. Vector can immediately file proof of service and require the registrar to note Mr. Patel in default under R. 19.01. The effect under R. 19.02: Mr. Patel is deemed to admit the allegations against him - including the personal guarantee.

Vector's claim against Mr. Patel is for **a sum certain (\$480,000) under a personal guarantee** - a liquidated demand. Vector may obtain default judgment by filing an affidavit of debt under R. 19.04. **No motion is required.**

If Mr. Patel later moves to set aside under R. 19.03, the court applies *Mountain View Farms*: his vague 'invalid for vagueness' defence is unlikely to constitute an arguable defence on the merits, and his pattern of non-attendance and overdue defence undercuts both promptness and plausible explanation.

CONCLUSION

Vector should immediately note Mr. Patel in default under R. 19.01 and obtain default judgment under R. 19.04 by filing an affidavit of debt. This requires no motion and is the most efficient single step against Mr. Patel.

Mechanism 2 - R. 20 Summary Judgment Against Mercury

ISSUE

Whether Vector can obtain summary judgment against Mercury under R. 20 applying the Hryniak two-stage analysis.

RULE

R. 20.04(2): The court shall grant summary judgment if it is satisfied that (a) there is no genuine issue requiring a trial; or (b) the parties agree.

R. 20.04(2.1) - Enhanced powers: In determining whether there is a genuine issue requiring a trial, the court shall consider the evidence and may exercise the following powers, unless it is in the interest of justice for them to be exercised only at trial: (i) weighing the evidence; (ii) evaluating the credibility of a deponent; (iii) drawing reasonable inferences. **R. 20.04(2.2) - Mini-trial:** The court may order oral evidence be presented by one or more parties.

Hryniak v Mauldin, 2014 SCC 87 (Karakatsanis J., unanimous) - the 'culture shift'. Two-stage analysis: (1) is there a genuine issue requiring a trial on the record alone?; (2) if so, can the issue be resolved by exercising the enhanced powers under R. 20.04(2.1) and (2.2) without a full trial?

R. 20.06 - Costs: Where a moving party fails on a summary judgment motion, the court may award substantial indemnity costs unless the motion was reasonable.

APPLICATION - Vector's Motion Against Mercury

Vector has documentary evidence of (a) the contract; (b) the milestone schedule; (c) the unpaid milestones, conceded by Mercury. The only contested issue is **whether the work was completed to contractual standard** - a quality issue that may turn on factual evidence and possibly expert opinion.

Hryniak Stage 1 - record-only review: On the record, contract and non-payment are conceded. The dispute reduces to Mercury's assertion that the work was substandard. If Vector's record (project sign-offs, milestone certifications, customer acceptances) demonstrates completion to standard, Stage 1 may dispose of the matter on the paper record.

Hryniak Stage 2 - enhanced powers: If Stage 1 leaves a genuine issue, the court may exercise R. 20.04(2.1) powers to weigh evidence, assess credibility, and draw inferences - possibly with limited oral evidence under R. 20.04(2.2). For a contract dispute about workmanship, a focused mini-trial on the standard-of-performance question may resolve the matter without a full trial.

If Mercury's defence is genuinely fact-intensive and credibility-dependent (e.g., conflicting expert opinions on the quality of the software), Stage 2 may not be appropriate - the 'interest of justice' qualifier preserves cases that genuinely require trial.

CONCLUSION

Vector should bring a R. 20 summary judgment motion against Mercury. The Hryniak two-stage analysis is likely to resolve at Stage 1 if the record clearly establishes contract performance, or at Stage 2 with limited oral evidence on workmanship under R. 20.04(2.2). Cost risk under R. 20.06 is manageable given Mercury's concessions.

Mechanism 3 - R. 21 / R. 25.11 Against Mr. Patel's Defence

ISSUE

Whether Vector can strike Mr. Patel's vague defence under R. 21.01(1)(b) (no reasonable defence) or R. 25.11 (impropriety).

RULE

R. 21.01(1)(b): A pleading may be struck where it discloses no reasonable cause of action **or** defence. **No evidence is admissible** under R. 21.01(2)(b) - decided on the face of the pleading. Standard: 'plain and obvious' that the defence cannot succeed (Hunt v Carey Canada Inc., [1990] 2 S.C.R. 959; R. v Imperial Tobacco Canada Ltd., 2011 SCC 42).

R. 25.11: A pleading may be struck where it is scandalous, frivolous, vexatious, an abuse of process, or where it may prejudice or delay the fair trial of the action.

R. 25.06 - Particulars: Every pleading shall contain a concise statement of the material facts. A bare conclusion ('the contract is invalid') without supporting facts may be deficient.

Leave to amend is generally granted under R. 26 unless the defect is incurable.

APPLICATION - Mr. Patel's One-Line Defence

Mr. Patel's defence - 'the personal guarantee is invalid for vagueness' - is a bare legal conclusion with no material facts pleaded. Under R. 25.06, every pleading must contain a concise statement of the **material facts** relied on. A defence consisting only of a legal label is procedurally improper.

Vector may move under **R. 21.01(1)(b)** to strike on the basis that no reasonable defence is disclosed, or under **R. 25.11** for impropriety. The plain-and-obvious standard under Hunt v Carey requires that the defence cannot succeed even if the pleaded facts are true - here, no facts are pleaded at all.

However, this issue is largely moot if Vector pursues default judgment under R. 19 (Mr. Patel has not even filed his defence within time). The R. 21/R. 25.11 path becomes relevant only if Mr. Patel cures

his late filing or successfully resists default judgment.

CONCLUSION

Mr. Patel's vague 'invalid for vagueness' pleading is vulnerable under both R. 21.01(1)(b) (no reasonable defence on a plain-and-obvious basis) and R. 25.11 (impropriety). Vector's primary path is R. 19 default; R. 21/R. 25.11 are backup mechanisms if Mr. Patel re-engages.

Recommended Sequence of Motions

APPLICATION - Optimal Disposition Strategy

Step 1 - R. 19 default judgment against Mr. Patel (immediate, no motion required): file proof of service and affidavit of debt; obtain registrar's default judgment for \$480,000 plus interest under R. 19.04. **Cost:** nominal; **time:** 1–2 weeks.

Step 2 - R. 20 summary judgment motion against Mercury (notice of motion + record + factum): based on conceded contract and non-payment, with Hryniak Stage 1 disposition or limited Stage 2 mini-trial on workmanship. **Cost:** moderate; **time:** 6–9 months including preparation and hearing.

Step 3 (contingent) - R. 49 offer to settle to Mercury before the summary judgment hearing. If Mercury rejects an offer at or near the table amount and Vector obtains a result as favourable, R. 49.10(1) cost consequences attach - partial indemnity to the offer date and substantial indemnity from then.

Step 4 (contingent) - R. 25.11 / R. 21 against any improper Mercury pleading if Mercury's Statement of Defence is similarly bare on workmanship.

This sequence resolves the Mr. Patel claim almost immediately at minimal cost (Step 1) and creates strong cost pressure on Mercury for early settlement of the larger claim (Steps 2–3).

CONCLUSION

Vector should pursue: (i) **R. 19 default judgment** against Mr. Patel for the \$480,000 plus interest - efficient, single-step, no motion required; (ii) **R. 20 summary judgment** against Mercury on the contract claim - documentary record + Hryniak two-stage analysis; (iii) **R. 49 offer** to crystallise cost consequences; (iv) **R. 21 / R. 25.11** as backup against any deficient Mercury pleading. Together, these mechanisms can dispose of the action against both defendants within 9–12 months without a full trial.

QUESTION 5 OF 12

Primary Topic	Ten True/False Sub-Questions
Secondary Topics	All Civil Procedure topics; sample exam Q5 pattern
Difficulty	Medium
Suggested Time	36 Minutes
Mark Value	20 Marks (2 each)

FACT PATTERN

For each of the ten statements below, answer TRUE or FALSE and explain your answer in two to three sentences. Reference must always be made to the Rules, statutes, and cases. Failure to provide a reasoned justification will negatively affect the grade. Each sub-question is worth 2 marks (1 for the correct True/False; 1 for the justification with authority).

YOUR TASK

- (a) The basic limitation period under the Limitations Act, 2002 begins to run from the date of breach.
- (b) A third party claim may be issued and served on a non-party at any time after the close of pleadings.
- (c) Once a corporate party has been examined for discovery through one representative, the examining party may not examine any other employee of the corporation without leave or consent.
- (d) Costs follow the event at trials, but losing parties do not pay costs on motions.
- (e) Proportionality is a governing principle of the Rules of Civil Procedure designed to improve civil justice.
- (f) Associate Judges (formerly Masters) may not be involved in pre-trial settlement discussions - only judges may.
- (g) Where two plaintiffs join causes of action against the same defendant under R. 5.02, no court order or consent is required.
- (h) The Ontario Superior Court of Justice has jurisdiction over a defendant who is served outside Ontario only if the four Van Breda presumptive connecting factors are satisfied.
- (i) An originating process may be served outside Ontario in any of 18 enumerated categories under R. 17.02 without leave of the court.
- (j) Affidavit evidence on a motion need not be sworn before a commissioner if the deponent personally signs the document.

EXAMINER'S GUIDE

Strategy: Each sub-question requires only 3 minutes. Identify the correct answer; cite the Rule, section, or case; and explain in 2-3 sentences. Sample exam Q5 (10 True/False) is designed to penalize candidates who write at the level of 'discovery applies' without naming RR. 30-31 and the leading cases.

Mark allocation: 2 marks each - 1 for True/False; 1 for justification. **Authority is mandatory for the second mark.**

(a) Limitation period runs from date of breach - FALSE

APPLICATION - Justification

FALSE. Under the Limitations Act, 2002, s.4, the basic two-year period runs from the day the claim

was **discovered**, not from the date of breach. Section 5(1) defines discovery as the day the claimant first knew (or ought reasonably to have known) of the injury, that it was caused by an act or omission, that the act was the defendant's, and that a proceeding would be appropriate. The s.5(2) presumption is that the claimant knew on the day the act took place, but the presumption can be rebutted (*Peixeiro v Haberman*, [1997] 3 S.C.R. 549; *Grant Thornton LLP v New Brunswick*, 2021 SCC 31).

(b) Third party claim may be issued at any time - FALSE

APPLICATION - Justification

FALSE. A third party claim must be issued and served within the time prescribed by R. 29.02 - specifically, **before the action is set down for trial** and within prescribed time limits relative to the defence (R. 29.02(1.1)). After set-down, leave is required. The third party claim is governed by RR. 29.01–29.05; service follows the same rules as service of an originating process (R. 29.05).

(c) Only one corporate examination as of right - TRUE

APPLICATION - Justification

TRUE. Under R. 31.03(2), where a party to be examined is a corporation, the examining party may examine **any officer, director, or employee on behalf of the corporation** - generally only one person. Leave to examine more than one is required and granted only where (a) satisfactory answers cannot be obtained from one person without undue expense and inconvenience; AND (b) examination of more than one would likely expedite the action (*Famous Players Development Corp. v Central Capital Corp.* (1991), 6 O.R. (3d) 765 (Div. Ct.); *Rupani v Willett*, 2023 ONSC 3743).

(d) Costs follow the event only at trial, not on motions - FALSE

APPLICATION - Justification

FALSE. Costs follow the event at **both trials and motions**. Section 131(1) of the Courts of Justice Act gives the court general discretion as to costs, structured by R. 57.01, and R. 37.18 confirms that costs of motions are determined in accordance with R. 57. The successful party on a motion is generally entitled to costs of the motion - typically on the partial indemnity scale and quantified using Tariff A.

(e) Proportionality is designed to improve civil justice - TRUE

APPLICATION - Justification

TRUE. Proportionality is enshrined as a governing principle in R. 1.04(1.1) and operationalised in R. 29.1 (discovery plan) and R. 29.2 (limits on discovery). The Supreme Court in **Hryniak v Mauldin, 2014 SCC 87** elevated proportionality to a constitutional principle of civil procedure - the 'culture shift' from default trials to proportionate procedures. The aim is fairness consistent with timely and affordable resolution.

(f) Only judges conduct pre-trial settlement discussions - FALSE

APPLICATION - Justification

FALSE. Under **R. 50.04**, **either a judge or an Associate Judge** may conduct a pre-trial conference, which is the primary court-supervised settlement vehicle. Both can engage with settlement, narrow issues, and make procedural orders. The pre-trial judge may not preside at trial absent consent (R. 50.10). The 2021 amendments renamed Masters as Associate Judges; the

substance of R. 50.04 is unchanged.

(g) Plaintiffs may join under R. 5.02 without order or consent - TRUE

APPLICATION - Justification

TRUE. R. 5.02(1) permits two or more plaintiffs to join in one proceeding where they (a) assert any right to relief jointly, severally, or in the alternative arising from the same transaction or occurrence; or (b) raise a common question of law or fact - **no court order or consent is required**. R. 5.05 grants the court a residual power to order separate trials if joinder is inconvenient or oppressive.

(h) Van Breda factors are exclusive bases for jurisdiction - FALSE

APPLICATION - Justification

FALSE. The four presumptive connecting factors in **Club Resorts Ltd v Van Breda, 2012 SCC 17** are not exhaustive - LeBel J. expressly left room for the recognition of additional factors. Moreover, jurisdiction simpliciter may also be established by attornment (*Bank of Africa v Cohen*) or by presence of the defendant in the province at service. The **Sinclair v Amex Canada (2025 SCC)** refinement applied to the rebuttal stage, not to the list of factors itself.

(i) R. 17.02 service outside Ontario without leave - TRUE

APPLICATION - Justification

TRUE. R. 17.02 lists 18 categories in which an originating process may be served outside Ontario **without leave of the court** - including (h) tort committed in Ontario, (g) contract made in Ontario, (a) damages sustained in Ontario, and (p) defendant outside Ontario who is a necessary or proper party. R. 17.03 provides for leave to serve outside Ontario in cases not falling within R. 17.02. Service must still use a method permitted under R. 16.

(j) Unsworn affidavit on a motion is sufficient - FALSE

APPLICATION - Justification

FALSE. Affidavit evidence on a motion must be sworn or affirmed before a commissioner for taking affidavits (or other person authorised under the Commissioners for Taking Affidavits Act, R.S.O. 1990, c. C.17). Mere personal signing does not constitute oath. R. 39.01(1) provides that evidence on a motion may be by affidavit; the formal swearing requirement is preserved.

QUESTION 6 OF 12

Primary Topic	Pleadings - Striking, Particulars & Amendments
Secondary Topics	R. 25 (pleadings); R. 25.11 (striking); R. 26 (amendments); Hunt v Carey
Difficulty	Medium
Suggested Time	27 Minutes
Mark Value	15 Marks

FACT PATTERN

Greenfield Holdings Ltd. ('Greenfield') has commenced an action in the Ontario Superior Court of Justice against Skyline Property Management Inc. ('Skyline') and Skyline's president, Ms. Lara Costa, alleging fraudulent misrepresentation in connection with the sale of a commercial property. The Statement of Claim contains the following pleading: 'The defendants engaged in a pattern of dishonesty and concealment, deliberately misled the plaintiff, and acted with malice. They are dishonest people who routinely defraud their counterparties.' The Statement of Claim does not specify any particular representations, dates, statements, or transactions. Skyline and Ms. Costa have brought a motion to strike the impugned paragraph. They argue that the pleading is vexatious, scandalous, and discloses no reasonable cause of action. In the alternative, they request particulars under R. 25.10. Greenfield resists the motion and proposes to amend its pleading.

YOUR TASK

- (a) Identify the procedural rules governing pleadings, the standards for striking under R. 21 and R. 25.11, and the rule for ordering particulars. (5 marks)
- (b) Apply those rules to Greenfield's pleading. (6 marks)
- (c) Should leave to amend be granted, and if so, on what terms? (4 marks)

EXAMINER'S GUIDE

Issues: R. 25.06 material facts; R. 25.10 particulars; R. 25.11 scandalous/vexatious/abuse; R. 21.01(1)(b) no reasonable cause of action with Hunt v Carey plain-and-obvious; R. 26 leave to amend.

Cases MUST cite: Hunt v Carey Canada Inc., [1990] 2 SCR 959; R v Imperial Tobacco Canada Ltd., 2011 SCC 42; R. 25.06; R. 25.10; R. 25.11; R. 26.01.

Part (a) - The Rules Governing Pleadings (5 marks)

ISSUE

The issue is the framework governing pleadings, the standards for striking under R. 21 and R. 25.11, and the rule for ordering particulars under R. 25.10.

RULE

R. 25.06 - Material facts: Every pleading shall contain a concise statement of the **material facts** on which the party relies, but not the evidence by which those facts are to be proved. Bare conclusions of law without supporting facts are insufficient.

R. 25.06(8) - Fraud, misrepresentation, breach of trust: Where allegations of fraud, misrepresentation, breach of trust, or undue influence are made, **full particulars must be pleaded** - specific representations, dates, the speaker, the recipient, and the manner in which the representation was relied on.

R. 25.10 - Particulars: Where a pleading contains insufficient detail, the court may order the party to

deliver particulars within a specified time. The party may not move for particulars where the information is in their own knowledge.

R. 25.11 - Striking pleadings: A pleading may be struck where it is scandalous, frivolous, or vexatious; an abuse of the process of the court; or may prejudice or delay the fair trial of the action.

R. 21.01(1)(b): A pleading may be struck on the ground that it discloses no reasonable cause of action or defence. **No evidence is admissible** under R. 21.01(2)(b). Standard: 'plain and obvious' that the claim cannot succeed (*Hunt v Carey Canada Inc.*, [1990] 2 S.C.R. 959; *R. v Imperial Tobacco Canada Ltd.*, 2011 SCC 42).

R. 26 - Amendments: Leave to amend is generally granted, even on the eve of trial, unless the amendment would cause prejudice that cannot be compensated by costs.

Part (b) - Application to Greenfield's Pleading (6 marks)

APPLICATION - Striking Analysis

R. 25.06(8) violation: The pleading alleges fraudulent misrepresentation but provides **no particulars** - no specific statements, dates, speakers, or transactions. R. 25.06(8) imposes a heightened pleading standard for fraud allegations precisely because of the seriousness of the allegation. The pleading fails this requirement.

R. 25.11 - scandalous and vexatious: The phrase 'they are dishonest people who routinely defraud their counterparties' is a personal attack on character unconnected to specific facts. This is **scandalous** under R. 25.11 - it serves no purpose in establishing the claim and is calculated to embarrass the defendants. The pleading also alleges 'malice' without supporting material facts, which is properly characterised as conclusory and vexatious.

R. 21.01(1)(b) - plain and obvious: Although fraudulent misrepresentation is a recognised cause of action, the pleading as drafted discloses no facts capable of supporting the cause. Without specific representations, the elements of fraud (false representation; knowledge of falsity or recklessness; reliance; damage) cannot be made out. Under *Hunt v Carey*, the test is whether on the facts as pleaded the claim has any reasonable prospect - not whether on better facts it might.

R. 25.10 - particulars (the alternative remedy): Skyline's alternative request for particulars is appropriate because, even if the pleading is not struck outright, Greenfield must specify which representations, when, by whom, and how relied on - the universe of allegedly fraudulent conduct must be identified.

CONCLUSION

The impugned paragraph should be struck under R. 25.11 (scandalous and vexatious as to the personal-character allegations) and under R. 25.06(8) read with R. 21.01(1)(b) (no reasonable cause of action because particulars of fraud are absent). The court will likely grant the motion in part - strike the offending sentences and require particulars before the action proceeds.

Part (c) - Leave to Amend (4 marks)

APPLICATION - Amendment Analysis

R. 26.01: The court shall grant leave to amend a pleading at any stage of the action unless prejudice would result that cannot be compensated by costs or an adjournment.

Greenfield should be granted leave to amend on the following terms: (i) deliver particulars under R. 25.10 specifying the representations alleged to be false (date, speaker, recipient, manner of reliance, damage); (ii) remove the conclusory and scandalous statements ('dishonest people who routinely defraud'); (iii) deliver an Amended Statement of Claim within 30 days; (iv) costs of the motion to the defendants, fixed in any event of the cause.

If Greenfield refuses to amend or cannot supply particulars (suggesting the fraud allegation has no factual foundation), the action against Ms. Costa personally is likely to fail and may proceed only on alternative grounds (e.g., breach of contract against Skyline).

CONCLUSION

Leave to amend should be granted on terms requiring proper particulars under R. 25.06(8), removal of the scandalous language under R. 25.11, and costs of the motion to Skyline and Ms. Costa. The amended pleading must satisfy the heightened fraud standard or the action will fail under R. 21.01(1)(b).

QUESTION 7 OF 12

Primary Topic	Class Proceedings - Five-Part Certification
Secondary Topics	Class Proceedings Act, 1992, ss.5, 6; Hollick; AIC v Fischer; CPA s.5(1.1) preferable procedure
Difficulty	Hard
Suggested Time	36 Minutes
Mark Value	20 Marks

FACT PATTERN

Solar Energy Devices Inc. ('Solar') sold approximately 18,000 residential rooftop solar panels in Ontario between 2020 and 2023. In late 2025, an industry publication reported that a defective inverter component caused approximately 4,000 of the panels to underperform by 15–20%, resulting in higher household electricity bills. The defect is alleged to be common to a specific model of inverter installed in panels sold during a specific 18-month manufacturing window. Three named consumers have retained class-action counsel. They propose to bring a class proceeding under the Class Proceedings Act, 1992 on behalf of all Ontario purchasers of the affected panels. The proposed class would consist of approximately 4,000 households. Damages would average approximately \$2,500 per household (excess electricity costs), totalling approximately \$10 million in aggregate. Solar opposes certification, arguing that individual installation conditions, household electricity usage patterns, and warranty rights vary so widely that a class proceeding is unmanageable. Solar also argues that small-claims litigation by individual consumers is a preferable procedure.

YOUR TASK

Advise the proposed representative plaintiffs on the certification motion. Identify the five-part test under CPA s.5, the preferable-procedure refinement following the 2020 CPA amendments, and apply each element to the facts. (20 marks)

EXAMINER'S GUIDE

Issues: CPA s.5(1) five-part test; s.5(1.1) preferable procedure (post-2020); leading authorities *Hollick v Toronto (City)*, 2001 SCC 68; *Western Canadian Shopping Centres v Dutton*, 2001 SCC 46; *AIC Limited v Fischer*, 2013 SCC 69 (access to justice); *Pro-Sys Consultants Ltd v Microsoft Corp*, 2013 SCC 57 (some basis in fact).

Cases MUST cite: Class Proceedings Act, 1992, S.O. 1992, c. 6, ss.5, 5(1.1), 6; *Hollick v Toronto (City)*, 2001 SCC 68; *Western Canadian Shopping Centres v Dutton*, 2001 SCC 46; *AIC Limited v Fischer*, 2013 SCC 69; *Pro-Sys Consultants Ltd v Microsoft Corp*, 2013 SCC 57.

ISSUE

The issue is whether the proposed class proceeding should be certified under CPA s.5, applying the five-part test, the s.5(1.1) preferable-procedure refinement, and the leading authorities on certification.

RULE

CPA s.5(1) - Five-part certification test. The court shall certify a class proceeding if (a) the pleadings or notice of application disclose a cause of action; (b) there is an identifiable class of two or more persons that would be represented by the representative plaintiff; (c) the claims or defences of the class members raise common issues; (d) a class proceeding would be the preferable procedure for the resolution of the common issues; and (e) there is a representative plaintiff who would (i) fairly and adequately represent the class, (ii) have produced a workable plan, and (iii) not

have a conflict with other class members on common issues.

CPA s.5(1.1) - Preferable procedure (post-2020 amendments): The court shall consider whether a class proceeding is **preferable** to all reasonably available means of determining the entitlement of class members - including any quasi-judicial or administrative proceeding. The 2020 amendments raised the preferability bar; class proceedings must be **superior**, not merely workable.

Hollick v Toronto (City), 2001 SCC 68 (McLachlin C.J.): The certification test is procedural - the court does not assess the merits of the claim. Plaintiff bears the onus of 'some basis in fact' for each element of s.5 (other than (a), which is on the pleading alone).

Western Canadian Shopping Centres v Dutton, 2001 SCC 46: An issue is 'common' if its resolution will avoid duplication of fact-finding or legal analysis. Common issues need not predominate - they need only meaningfully advance the resolution of class members' claims.

AIC Limited v Fischer, 2013 SCC 69: Access to justice is the central pillar of the preferable-procedure analysis. The court asks whether a class proceeding will provide meaningful access - considering economic viability of individual claims, behaviour modification, and judicial economy.

Pro-Sys Consultants Ltd v Microsoft Corp, 2013 SCC 57: The plaintiff must show 'some basis in fact' for each certification element - a low threshold but not an empty one. Methodology for proving common issues must be at least credible or plausible.

Element-by-Element Application

APPLICATION - (a) Cause of Action - R. 21.01(1)(b) Standard

The proposed claim sounds in **negligent design and manufacture, breach of warranty, and breach of the Consumer Protection Act, 2002**. On the pleading alone, applying the Hunt v Carey plain-and-obvious standard, none of these causes is bound to fail. **Element (a) is satisfied.**

APPLICATION - (b) Identifiable Class - Definition Test

The proposed class is **all Ontario purchasers of Solar rooftop panels containing the affected inverter model installed during the specific 18-month manufacturing window**. The class is approximately 4,000 households, identified by purchase records and product serial numbers in Solar's own systems. The class definition is **objective, not merits-based**, and is defined by reference to a discoverable criterion (purchase of an affected panel). **Element (b) is satisfied.**

APPLICATION - (c) Common Issues - Western Canadian Shopping Centres

Common issues include: (i) was the inverter component defective?; (ii) did Solar know or ought to have known of the defect?; (iii) what is Solar's liability under negligence, contract, and the Consumer Protection Act?; (iv) the methodology for calculating individual damages (e.g., a percentage-loss model applied to each household's actual electricity consumption).

Solar's objection - individual installation conditions, electricity usage patterns, and warranty terms vary - goes to **damages quantification**, not to liability. Per Western Canadian Shopping Centres, common issues need not predominate; they need only meaningfully advance the litigation. The defect, knowledge, and liability questions are common; individual damages can be addressed through aggregation under CPA s.24 or by an individual issues process under s.25. **Element (c) is satisfied.**

APPLICATION - (d) Preferable Procedure - AIC Fischer + s.5(1.1)

Solar's small-claims argument must be assessed against AIC Fischer's access-to-justice analysis. Individual claims of ~\$2,500 are economically marginal: (i) the cost of Small Claims Court (filing fees, time off work, expert evidence on the defect) likely exceeds the value of an individual claim; (ii) consumers will not have the technical resources to prove the inverter defect alone; (iii) without a class proceeding, the **majority of class members will not pursue any claim** - the textbook AIC

Fischer scenario.

Behaviour modification: A class proceeding holds Solar accountable for a systemic defect. Individual claims cannot achieve this.

Judicial economy: Determining common liability questions once - rather than 4,000 times - is the central efficiency rationale.

s.5(1.1) raised bar: Even under the post-2020 superior-not-just-workable standard, a class proceeding here is clearly preferable to any reasonably available alternative. There is no quasi-judicial or administrative proceeding that resolves the systemic defect issue. **Element (d) is satisfied.**

APPLICATION - (e) Representative Plaintiff

The three named representative plaintiffs each purchased an affected panel; they have retained competent class-action counsel; they have produced a litigation plan covering management of the action, communication with class members, and proposed common-issues trial structure. Provided no individual conflict exists (e.g., one plaintiff has already settled with Solar privately), they fairly and adequately represent the class. **Element (e) is satisfied**, subject to confirmation of the litigation plan and conflict check.

CONCLUSION

All five elements of CPA s.5 are satisfied. Certification should be granted. The defendant's small-claims-court argument fails the AIC Fischer access-to-justice analysis: individual \$2,500 claims are economically marginal, technical evidence of the inverter defect is beyond individual capacity, and a class proceeding is the only mechanism that achieves both compensation and behaviour modification. The proposed class - approximately 4,000 Ontario purchasers of panels containing the affected inverter model installed during the specific 18-month window - is well-defined, manageable, and superior to alternative proceedings under the post-2020 s.5(1.1) standard.

QUESTION 8 OF 12

Primary Topic	Interlocutory Injunction, Mareva & Anton Piller
Secondary Topics	RJR-MacDonald three-part test; Mareva (Aetna Financial); Anton Piller (Celanese)
Difficulty	Hard
Suggested Time	36 Minutes
Mark Value	20 Marks

FACT PATTERN

Beacon Software Ltd. ('Beacon') develops proprietary financial-modelling software. A senior employee, Mr. Jian Li, resigned in March 2026 to join a direct competitor, Quantum Analytics Inc. Within weeks, Quantum released a product with features that Beacon believes are derived from confidential algorithms developed by Beacon. A forensic review of Mr. Li's company laptop revealed that, in his final two weeks at Beacon, he downloaded approximately 2 GB of source code and customer data to a personal external drive. Mr. Li disputes that he retained any Beacon materials and his counsel has refused to produce the external drive. Beacon also has reason to believe Mr. Li has been transferring funds to an offshore account in Cayman Islands and may shortly leave Ontario permanently. Beacon has commenced proceedings against Mr. Li and Quantum for breach of confidence, breach of fiduciary duty, and inducing breach of contract. Beacon now seeks: (a) an interlocutory injunction restraining Mr. Li and Quantum from using or disclosing the alleged confidential information pending trial; (b) a Mareva injunction freezing Mr. Li's assets in Ontario; and (c) an Anton Piller order to seize the external drive.

YOUR TASK

Advise Beacon on the test for each of the three orders, the evidentiary thresholds, and the likelihood of success on the facts. (20 marks)

EXAMINER'S GUIDE

Issues: (a) Interlocutory injunction - RJR-MacDonald three-part test (serious issue; irreparable harm; balance of convenience); R. 40. (b) Mareva injunction - Aetna Financial Services v Feigelman, [1985] 1 SCR 2 - strong prima facie case + risk of removal/dissipation. (c) Anton Piller - Celanese Canada Inc v Murray Demolition Corp, 2006 SCC 36 - four conditions including strong prima facie case, very serious damage, clear evidence of relevant materials in possession, real possibility of destruction.

Cases MUST cite: RJR-MacDonald Inc. v Canada (Attorney General), [1994] 1 S.C.R. 311; Aetna Financial Services Ltd. v Feigelman, [1985] 1 S.C.R. 2; Chitel v Rothbart (1982), 39 O.R. (2d) 513 (C.A.); Anton Piller KG v Manufacturing Processes Ltd, [1976] Ch. 55; Celanese Canada Inc. v Murray Demolition Corp, 2006 SCC 36.

Part (a) - Interlocutory Injunction (8 marks)

ISSUE

Whether Beacon can obtain an interlocutory injunction restraining Mr. Li and Quantum from using the alleged confidential information pending trial.

RULE

RJR-MacDonald Inc. v Canada (Attorney General), [1994] 1 S.C.R. 311 - three-part test: (1) **serious issue to be tried** - a low threshold, requiring only that the claim is not frivolous or vexatious;

(2) **irreparable harm** to the moving party if the injunction is refused - harm not adequately compensable in damages; (3) **balance of convenience** - which party will suffer the greater inconvenience.

R. 40.01–40.04: An interlocutory injunction may be granted on motion. The moving party must give an undertaking as to damages (R. 40.03).

APPLICATION - Three-Part Test Applied

(1) Serious issue to be tried: Beacon's claim for breach of confidence is supported by (i) Mr. Li's download of 2 GB of source code in his final two weeks; (ii) Quantum's rapid release of a product with similar features; (iii) Mr. Li's fiduciary obligations to Beacon. The claim is plainly not frivolous - the low threshold is met.

(2) Irreparable harm: Loss of confidential information once disclosed is the paradigm of irreparable harm - once trade secrets are public, no damages award restores secrecy. Beacon's competitive position depends on the proprietary nature of the algorithms; ongoing use by Quantum will compound the harm. Irreparable harm is satisfied.

(3) Balance of convenience: An injunction restraining Quantum from using the disputed algorithms while permitting it to continue all other commercial activities is narrowly tailored. Quantum's commercial harm (delayed product enhancement) is compensable in damages on Beacon's undertaking; Beacon's harm (permanent loss of trade secrets) is not. The balance favours Beacon.

CONCLUSION

All three RJR-MacDonald elements are satisfied. The interlocutory injunction should be granted, narrowly drawn to restrain only the use or disclosure of the specific algorithms and source code. Beacon must provide an undertaking as to damages under R. 40.03.

Part (b) - Mareva Injunction (6 marks)

ISSUE

Whether Beacon can obtain a Mareva injunction freezing Mr. Li's Ontario assets to prevent dissipation.

RULE

Aetna Financial Services Ltd. v Feigelman, [1985] 1 S.C.R. 2 (Estey J.): A Mareva injunction may be granted where the plaintiff establishes (1) a **strong prima facie case** on the merits; (2) the defendant has assets in the jurisdiction; (3) a **real risk** that those assets will be removed or dissipated to defeat any judgment; and (4) the balance of convenience favours the injunction.

Chitel v Rothbart (1982), 39 O.R. (2d) 513 (Ont. C.A.): The Mareva jurisdiction is exceptional and must be exercised with caution. The plaintiff must show actual conduct evidencing intent to dissipate - not merely the theoretical possibility.

Procedure: Mareva motions are typically brought ex parte for surprise; full and frank disclosure is mandatory.

APPLICATION - Aetna Test Applied

(1) Strong prima facie case: Higher threshold than the RJR-MacDonald 'serious issue'. Beacon's evidence - forensic record of Mr. Li's 2 GB download, the timing in his final two weeks, Quantum's product release - establishes a strong prima facie case for breach of confidence and breach of fiduciary duty. Met.

(2) Assets in jurisdiction: Mr. Li has Ontario assets (accounts, property to be identified through R. 60.18 examination). Met if specifically pleaded.

(3) Real risk of dissipation: Beacon has evidence of (i) transfers to a Cayman Islands account (a

non-treaty jurisdiction making enforcement difficult); (ii) Mr. Li's rumoured intent to leave Ontario permanently. This is **actual conduct**, not theoretical possibility - distinguishable from cases like Chitel where mere foreign residency was insufficient. Met.

(4) Balance of convenience: Freezing assets pending trial preserves the status quo; Mr. Li can apply to vary the order for legitimate ordinary expenses. Beacon's undertaking compensates any wrongful prejudice.

CONCLUSION

Beacon has a credible Mareva case under Aetna Financial. The order should be sought ex parte, with full and frank disclosure, and tailored to freeze only assets sufficient to satisfy the claim and reasonable costs - not Mr. Li's entire wealth. Living-expense carve-outs should be included.

Part (c) - Anton Piller Order (6 marks)

ISSUE

Whether Beacon can obtain an Anton Piller order to seize the external drive containing the downloaded source code.

RULE

Anton Piller KG v Manufacturing Processes Ltd, [1976] Ch. 55 (UK CA) - confirmed in Canada. **Celanese Canada Inc. v Murray Demolition Corp, 2006 SCC 36 (Binnie J.):** Anton Piller orders are extraordinary remedies. Four mandatory conditions: (1) **strong prima facie case**; (2) damage, potential or actual, must be **very serious**; (3) **clear evidence** that the defendant has incriminating documents or things in his possession; (4) a **real possibility** that the defendant may destroy the materials before discovery.

Procedural safeguards (Celanese): The order must include (a) supervising solicitor (independent of plaintiff's counsel); (b) detailed inventory of seized materials; (c) right to legal advice for the defendant; (d) return-date hearing within days of execution to confirm the order.

Risk of misuse: The order is invasive and quasi-criminal in nature; courts apply the test rigorously.

APPLICATION - Celanese Four Conditions Applied

(1) Strong prima facie case: Same evidentiary base as the Mareva analysis - met.

(2) Very serious damage: Source code disclosure is permanent and would destroy Beacon's competitive position. Met.

(3) Clear evidence of materials in possession: Forensic evidence shows Mr. Li downloaded the source code to a specific external drive. The materials, on the evidence, exist. Met - stronger than the typical Anton Piller case where existence is inferred.

(4) Real possibility of destruction: Mr. Li's counsel has refused production; Mr. Li is rumoured to be leaving Ontario. The risk that the drive will be wiped, hidden, or removed from Ontario is real and immediate. Met.

Procedural safeguards must be built in: independent supervising solicitor, detailed inventory, return-date hearing, legal-advice right. Beacon's motion materials must include a draft order with these safeguards or the order will not be granted.

CONCLUSION

Beacon has a credible Anton Piller case. All four Celanese conditions are satisfied. The motion should be ex parte, with full and frank disclosure, and the order must include the Celanese procedural safeguards - supervising solicitor, inventory, return-date hearing, right to legal advice. Beacon's package of orders - interlocutory injunction (R. 40), Mareva (Aetna Financial), and Anton Piller (Celanese) - together provide comprehensive interim relief tailored to the breach-of-confidence

and asset-flight risks.

QUESTION 9 OF 12

Primary Topic	Costs Framework - R. 49 Offers, R. 57, Tariff A
Secondary Topics	CJA s.131; R. 49.10 cost consequences; R. 57.01 factors; partial/substantial/full indemnity scales
Difficulty	Medium
Suggested Time	27 Minutes
Mark Value	15 Marks

FACT PATTERN

Acme Manufacturing Ltd. ('Acme') sued True North Distributors Inc. ('True North') for \$250,000 in unpaid invoices. The action proceeded to a five-day trial. **Three weeks before trial**, Acme served a written offer to settle for \$200,000 plus costs. True North did not respond. Acme also pleaded a punitive-damages claim of \$50,000, which was abandoned on the morning of trial. After trial, the court awarded Acme judgment for \$215,000 plus prejudgment interest. The defendant True North spent approximately \$180,000 in legal fees defending the action; Acme spent approximately \$220,000 (including the trial). Acme files a Bill of Costs seeking partial-indemnity costs of \$130,000 to the date of its offer and substantial-indemnity costs of \$80,000 from that date onwards. True North objects, arguing that the abandonment of the punitive-damages claim was wasteful conduct that should reduce Acme's recovery, and that Acme's offer was not sufficiently detailed.

YOUR TASK

Advise on the costs determination. Identify the governing principles, the scales available, and the impact of Acme's offer to settle. Apply R. 49.10 and R. 57.01 to the facts. (15 marks)

EXAMINER'S GUIDE

Issues: CJA s.131 discretion; R. 57.01 factors; R. 49.02 offer requirements; R. 49.10(1) plaintiff's offer cost consequence; partial/substantial/full indemnity scales; effect of abandoned claim.

Cases MUST cite: Courts of Justice Act, R.S.O. 1990, c. C.43, s.131(1); R. 49.02; R. 49.10(1); R. 57.01(1); Tariff A; Davies v Clarington (Municipality), 2009 ONCA 722 (factors for departing from cost consequence).

ISSUE

The issue is the determination of costs under CJA s.131 and the Rules - specifically, the application of R. 49.10(1) cost consequences arising from Acme's rejected offer to settle, the impact of the abandoned punitive-damages claim, and the appropriate scale and quantum.

RULE

CJA s.131(1): Subject to the rules of court, the costs of and incidental to a proceeding are in the discretion of the court, and the court may determine by whom and to what extent the costs shall be paid.

R. 57.01(1) - Factors: In exercising its costs discretion, the court may consider, in addition to the result and any offer to settle: (a) amount claimed and recovered; (b) apportionment of liability; (c) complexity; (d) importance of the issues; (e) conduct of any party that tended to shorten or lengthen unnecessarily the duration; (f) whether any step in the proceeding was improper, vexatious, or unnecessary; (g) negligence, mistake, or excessive caution; (h) hourly rates and time spent.

Three scales: **Partial indemnity** - the default; typically ~60% of actual reasonable costs; rates from Tariff A. **Substantial indemnity** - 1.5 times partial indemnity; awarded for unreasonable conduct, R. 49.10(1) trigger, or special circumstances. **Full indemnity** - 100% of actual reasonable costs;

reserved for the most exceptional cases.

R. 49.02: A party may serve a written offer to settle (Form 49A) at any time. **R. 49.10(1) - Cost consequence where plaintiff's offer is rejected:** Where (a) the plaintiff's offer was made at least seven days before the commencement of the hearing, (b) the offer was not withdrawn or accepted before the hearing, AND (c) the plaintiff obtains a judgment as favourable as or more favourable than the offer, the plaintiff is entitled to **partial indemnity costs to the date the offer was served and substantial indemnity costs from that date**, unless the court orders otherwise.

Davies v Clarington (Municipality), 2009 ONCA 722: The court should depart from the R. 49.10 consequence only for compelling reasons - the burden is on the party seeking departure.

Application - Three Issues

APPLICATION - (i) R. 49.10(1) Trigger - Substantial Indemnity Premium

Each R. 49.10(1) requirement is met: (a) Acme's offer was served three weeks before trial - well in excess of the seven-day notice requirement; (b) the offer was not withdrawn or accepted before the hearing; (c) Acme obtained \$215,000 - more favourable than its \$200,000 offer.

Result: Acme is entitled to **partial indemnity costs up to the date of the offer (three weeks pre-trial) and substantial indemnity costs from that date through trial**, unless the court orders otherwise. The substantial-indemnity premium is the standard reward for a successful R. 49.10(1) settlement strategy.

Davies v Clarington bar: True North must show compelling reasons to depart. None is apparent on the facts.

APPLICATION - (ii) Abandoned Punitive-Damages Claim - R. 57.01 Factor

True North's argument that abandoning the punitive claim on trial morning was wasteful conduct engages R. 57.01(1)(e) - conduct lengthening the proceeding - and (f) - unnecessary step. The argument has some merit: if pleading the punitive claim required additional evidence, time, or argument that would not otherwise have been incurred, True North can credibly argue that some portion of those costs should not be recovered by Acme.

Likely outcome: The court may apply a **modest discount** - perhaps 5–10% of the substantial-indemnity portion - to reflect the abandoned claim. It will not eliminate the R. 49.10(1) consequence; that consequence is rule-based and not displaced by minor pleading adjustments. The discount is at the court's discretion under CJA s.131(1) and R. 57.01.

APPLICATION - (iii) Adequacy of the Offer - R. 49.02 Compliance

True North's objection that the offer was not sufficiently detailed must be tested against R. 49.02. The Rule requires only a written offer; the offer must be capable of acceptance - i.e., the terms must be sufficiently certain that acceptance produces a binding settlement. '\$200,000 plus costs' is sufficiently certain (costs to be agreed or assessed in default of agreement).

Result: The offer is valid for R. 49.10 purposes. True North's objection fails.

Quantification

APPLICATION - Bill of Costs Assessment

Acme's claim: \$130,000 (partial indemnity to date of offer) + \$80,000 (substantial indemnity from offer date) = \$210,000 total.

Reasonableness check (R. 57.01): The court will assess hourly rates against Tariff A and time spent for reasonableness. Acme's actual fees were \$220,000; partial indemnity at ~60% to the offer date = ~\$130,000; substantial indemnity from the offer date (1.5 × partial indemnity) is consistent

with \$80,000 over the final three-week period.

Adjustment for abandoned claim: A reasonable adjustment of 5–10% on the substantial-indemnity portion = \$4,000–\$8,000 reduction.

Likely award: \$200,000–\$210,000 in costs, plus reasonable disbursements.

CONCLUSION

Acme is entitled to costs on a R. 49.10(1) two-stage scale: partial indemnity to the date of its offer, and substantial indemnity from that date forward. True North's objection to the offer's detail fails. The abandoned punitive claim warrants a modest discount under R. 57.01(1)(e)–(f) but does not displace the R. 49.10 consequence. Likely award: approximately \$200,000–\$210,000 plus disbursements, on the partial-then-substantial indemnity scale.

QUESTION 10 OF 12

Primary Topic	Appeals - Final vs Interlocutory & CJA Routes
Secondary Topics	Hendrickson v Kallio; CJA ss.6, 19; R. 62.02 leave; Housen v Nikolaisen standards of review
Difficulty	Medium
Suggested Time	27 Minutes
Mark Value	15 Marks

FACT PATTERN

After a 12-day trial, Justice Wong of the Ontario Superior Court of Justice issued the following decisions in three separate but related actions: (1) In **Action A**, Justice Wong granted summary judgment for the plaintiff Smith in the amount of \$42,000 against the defendant Brown. (2) In **Action B**, Justice Wong dismissed an application for summary judgment, finding that there were genuine issues requiring a trial; the action between Garcia and DEF Co. continues. (3) In **Action C**, Justice Wong granted summary judgment for the plaintiff Khan in the amount of \$850,000 against Mega Corporation, having weighed the evidence and rejected Mega's expert evidence as not credible. All three losing parties wish to appeal. Brown disputes the law applied; DEF Co. argues that the motion judge erred in finding that genuine issues required a trial; Mega Corporation argues that the motion judge's credibility finding was unreasonable on the evidence.

YOUR TASK

For each of the three orders, identify (a) whether the order is final or interlocutory; (b) the appellate court with jurisdiction; (c) whether leave is required; (d) the time limit for appeal; and (e) the applicable standard of review. (15 marks)

EXAMINER'S GUIDE

Issues: Hendrickson v Kallio test; CJA s.6(1)(b) Court of Appeal jurisdiction; CJA s.19 Divisional Court jurisdiction including \$50,000 monetary limit; R. 62.02 leave; R. 61.04 30-day limit; Housen v Nikolaisen standard of review.

Cases MUST cite: Hendrickson v Kallio, [1932] O.R. 675 (CA); Courts of Justice Act, R.S.O. 1990, c. C.43, ss.6(1)(b), 19(1.2); R. 61.04; R. 62.02; Housen v Nikolaisen, 2002 SCC 33.

ISSUE

The issue, for each of the three orders, is whether it is final or interlocutory; which appellate court has jurisdiction; whether leave is required; the time limit; and the applicable standard of review.

RULE

Hendrickson v Kallio, [1932] O.R. 675 (C.A.): A **final order** finally disposes of a substantive right or issue between the parties; an **interlocutory order** does not. Striking a pleading **without** leave to amend = final; striking **with** leave = interlocutory. Granting summary judgment = final; dismissing summary judgment = interlocutory.

CJA s.6(1)(b) - Court of Appeal: Final orders of the Superior Court of Justice except where the rules give jurisdiction to another court or the amount is within the Divisional Court limit.

CJA s.19(1.2) - Divisional Court (final orders): A final order for the payment of money in an amount **not more than \$50,000**, exclusive of costs, is appealed to the Divisional Court.

CJA s.19(1)(b) - Divisional Court (interlocutory): An interlocutory order may be appealed to the Divisional Court **with leave** under R. 62.02.

R. 62.02 - Leave to appeal: Granted only where (a) there is a conflicting decision and it is desirable that leave be granted; or (b) there is good reason to doubt the correctness of the order AND the proposed appeal involves matters of such importance that leave should be granted.

R. 61.04: Notice of Appeal must be served and filed within **30 days** after the making of the order appealed from.

Housen v Nikolaisen, 2002 SCC 33: Standards of review on appeal: (i) questions of law - **correctness**; (ii) questions of fact - **palpable and overriding error**; (iii) mixed questions of fact and law - generally palpable and overriding error, except where an extricable legal error can be identified.

Action A - Smith v Brown (\$42,000 Summary Judgment)

APPLICATION - Five-Element Analysis

(a) **Final or interlocutory:** Granting summary judgment finally disposes of the action - **final** order under Hendrickson.

(b) **Court:** \$42,000 is below the \$50,000 Divisional Court threshold - appeal lies to the **Divisional Court** under CJA s.19(1.2).

(c) **Leave:** No leave required - final order under \$50,000 is appealable as of right to the Divisional Court.

(d) **Time limit:** 30 days under R. 61.04.

(e) **Standard of review:** Brown disputes the **law** applied - **correctness review** per Housen.

Action B - Garcia v DEF Co. (Summary Judgment Dismissed)

APPLICATION - Five-Element Analysis

(a) **Final or interlocutory:** Dismissing a summary judgment motion does not finally dispose of any substantive right - the action proceeds to trial. **Interlocutory** order under Hendrickson.

(b) **Court:** Interlocutory orders go to the **Divisional Court** - CJA s.19(1)(b).

(c) **Leave:** **Leave is required** under R. 62.02. DEF Co. must demonstrate either a conflicting decision or good reason to doubt correctness combined with importance.

(d) **Time limit:** 30 days for the motion for leave under R. 62.02 (notice of motion).

(e) **Standard of review:** A motion judge's finding that there is a genuine issue requiring trial under R. 20.04(2) is a question of mixed fact and law. **Palpable and overriding error** standard per Housen, unless DEF Co. can extract a pure legal error (e.g., wrong test applied).

Action C - Khan v Mega Corporation (\$850,000 Summary Judgment with Credibility Finding)

APPLICATION - Five-Element Analysis

(a) **Final or interlocutory:** Granting summary judgment finally disposes - **final** order.

(b) **Court:** \$850,000 is well above \$50,000 - appeal lies directly to the **Court of Appeal for Ontario** under CJA s.6(1)(b).

(c) **Leave:** No leave required for a final order - appealable as of right.

(d) **Time limit:** 30 days under R. 61.04.

(e) **Standard of review:** The motion judge's credibility finding (rejecting Mega's expert evidence) is a finding of **fact** - reviewable on the **palpable and overriding error** standard per Housen. Credibility findings receive significant deference; the appellate court does not reweigh the evidence. Mega faces a high hurdle; an unreasonable credibility finding is a heavy lift on appeal.

CONCLUSION

Action A - final order \$42,000 - Divisional Court, no leave, 30 days, correctness on law. **Action B** - interlocutory - Divisional Court with leave under R. 62.02, palpable and overriding error. **Action C** - final order \$850,000 - Court of Appeal, no leave, 30 days, palpable and overriding error on credibility. The Hendrickson final/interlocutory distinction is the gatekeeper question; the \$50,000 threshold under CJA s.19(1.2) determines which final-order route applies; Housen v Nikolaisen governs standards of review across all three.

QUESTION 11 OF 12

Primary Topic	Joinder, Third Parties & Subsidiary Claims
Secondary Topics	RR. 5 (joinder); 27 (counterclaim); 28 (crossclaim); 29 (third party claim)
Difficulty	Medium
Suggested Time	27 Minutes
Mark Value	15 Marks

FACT PATTERN

A traffic accident occurred at the intersection of King Street and University Avenue in Toronto. A vehicle driven by Anya Petrov struck a pedestrian, Mr. Salim Ahmed, in a marked crosswalk. A second vehicle driven by Mr. Henrik Olsson rear-ended Anya's vehicle a few seconds later. Mr. Ahmed has commenced an action against Anya only, claiming \$400,000 for serious injuries. Anya wishes to: (a) bring a counterclaim against Mr. Ahmed alleging contributory negligence (he allegedly stepped out unexpectedly); (b) advance a crossclaim against any other defendant for contribution; and (c) commence a third party claim against Mr. Olsson on the basis that the rear-end collision exacerbated Mr. Ahmed's injuries. Mr. Ahmed has also indicated that he wishes to add the City of Toronto as an additional defendant, alleging inadequate traffic-signal maintenance. The action has been pleaded for two months; defences are due.

YOUR TASK

Advise on the procedural mechanisms available to Anya and Mr. Ahmed for joinder, counterclaim, crossclaim, and third party claim. Identify the rule, the procedural requirement, and the strategic implications of each. (15 marks)

EXAMINER'S GUIDE

Issues: R. 5.02 joinder of plaintiffs and parties; R. 5.04(2) adding parties (formerly Mareva for late additions - see Negligence Act and limitations); R. 27 counterclaim; R. 28 crossclaim; R. 29 third party claim including R. 29.02 timing.

Cases MUST cite: R. 5.02; R. 5.04(2); R. 27.01; R. 28.01; R. 29.01; R. 29.02; Negligence Act, R.S.O. 1990, c. N.1, s.1, s.5.

ISSUE

The issue is which procedural mechanisms are available to Anya for counterclaiming, crossclaiming, and bringing third party claims, and to Mr. Ahmed for adding the City as defendant.

RULE

R. 5.02 - Joinder: Multiple plaintiffs or defendants may be joined where (a) relief is asserted jointly, severally, or in the alternative arising from the same transaction or occurrence; or (b) a common question of law or fact exists. **No order or consent required.**

R. 5.04(2) - Adding/substituting parties: The court may add, delete, or substitute parties on such terms as are just at any stage of the proceeding. Limitation defences must be considered - a new party added after the limitation period has run cannot be added except in narrow exceptions.

R. 27 - Counterclaim: A defendant may, by counterclaim, assert any right or claim that the defendant has against the plaintiff. Counterclaim is set out in the Statement of Defence and Counterclaim, served and filed at the same time as the defence (R. 27.04).

R. 28 - Crossclaim: A defendant may, by crossclaim, claim against a co-defendant for contribution or indemnity, including under the Negligence Act. The crossclaim is included in the Statement of

Defence and Crossclaim.

R. 29 - Third party claim: A defendant may, by third party claim, claim against any person not a party to the action that the defendant is entitled to contribution, indemnity, or other relief arising out of a transaction or occurrence connected with the subject matter of the main action. **R. 29.02(1.1):** Third party claim must be issued within 10 days after the defendant's defence is delivered, or with leave.

Negligence Act, R.S.O. 1990, c. N.1, ss.1, 5: Tortfeasors are jointly and severally liable to the plaintiff; among themselves, they may seek contribution proportionate to fault.

Anya's Counterclaim Against Mr. Ahmed (R. 27)

APPLICATION - Counterclaim Analysis

Anya may counterclaim against Mr. Ahmed for **contributory negligence** under R. 27. The counterclaim alleges that Mr. Ahmed's own negligent conduct (stepping out unexpectedly) contributed to his injuries. Strictly, contributory negligence is a defence reducing recovery, not a counterclaim for damages - but if Anya alleges the pedestrian's conduct caused damage to her vehicle or person, the counterclaim is proper.

Procedure: Counterclaim is delivered in the Statement of Defence and Counterclaim under R. 27.04 - same time as the defence. **No separate filing fee** beyond the action. The counterclaim becomes part of the same proceeding, tried with the main action.

Anya's Third Party Claim Against Mr. Olsson (R. 29)

APPLICATION - Third Party Analysis

Anya may bring a third party claim against Mr. Olsson under R. 29.01 alleging that the rear-end collision exacerbated Mr. Ahmed's injuries and that Mr. Olsson is liable for contribution proportionate to his fault. The basis for the claim is the **Negligence Act** - a tortfeasor is jointly and severally liable to the plaintiff and may claim contribution from another tortfeasor.

Procedure: Third party claim must be issued within 10 days after Anya's defence is delivered (R. 29.02(1.1)). Service is in accordance with originating process rules under R. 29.05. The third party claim is tried with the main action.

Effect: If the trial determines Mr. Olsson is partly responsible for Mr. Ahmed's injuries (e.g., 30% fault), Anya is entitled to contribution of 30% of Mr. Ahmed's judgment from Mr. Olsson.

Anya's Crossclaim (R. 28) - Contingent on the City Being Added

APPLICATION - Crossclaim Analysis

If Mr. Ahmed adds the City of Toronto as a defendant under R. 5.04(2), Anya may bring a crossclaim against the City under R. 28 alleging that, if Anya is found liable, the City is liable for contribution proportionate to its share of fault for traffic-signal negligence.

Procedure: Crossclaim is included in Anya's Statement of Defence and Crossclaim, delivered with the defence (R. 28.05).

Note: Anya cannot crossclaim against Mr. Olsson because Mr. Olsson is not a co-defendant - he must be brought in by third party claim under R. 29 (above). Crossclaim is only between co-defendants.

Mr. Ahmed Adding the City of Toronto as Defendant (R. 5.04(2))

APPLICATION - Adding-Party Analysis

Mr. Ahmed may move under R. 5.04(2) to add the City as a defendant. The court considers whether (a) the addition is just; (b) it would not cause prejudice incompensable in costs or by adjournment; (c) the limitation period has not run on the new claim against the new party.

Limitation analysis: The accident occurred relatively recently; under Limitations Act, 2002, s.4, the basic two-year period runs from discoverability. Mr. Ahmed has been investigating; the City would presumably have been on his radar from the outset given the traffic-signal allegation. Limitation should not be a bar.

Strategic point: Adding the City as a defendant is preferable to leaving the City as a non-party because (i) the City's direct liability to Mr. Ahmed is established; (ii) third party claims by Anya against the City become unnecessary if both are co-defendants; (iii) joint and several liability under the Negligence Act provides Mr. Ahmed full recovery from any defendant.

CONCLUSION

Anya should: (1) deliver a Statement of Defence and Counterclaim under R. 27 within the defence timeline (counterclaim for any damage caused by Mr. Ahmed's contributory conduct); (2) issue a third party claim against Mr. Olsson under R. 29 within 10 days of the defence (R. 29.02(1.1)); (3) if Mr. Ahmed adds the City as defendant, include a crossclaim against the City in the Statement of Defence and Crossclaim under R. 28. Mr. Ahmed should move under R. 5.04(2) to add the City as a co-defendant. The Negligence Act framework anchors all contribution claims among the multiple potential tortfeasors.

QUESTION 12 OF 12

Primary Topic	Full Exam Simulation - Multi-Issue Trial Lifecycle
Secondary Topics	Integrated: limitations, jurisdiction, pleadings, discovery, summary judgment, costs, appeals
Difficulty	Hard
Suggested Time	54 Minutes
Mark Value	30 Marks

FACT PATTERN

Westwood Construction Ltd. ('Westwood'), an Alberta corporation with its head office in Calgary, was engaged by Lakeshore Developments Inc. ('Lakeshore'), an Ontario corporation, to act as construction manager on a major residential development in Mississauga, Ontario. The construction-management agreement was signed in Toronto on March 10, 2022 and contained no choice-of-court clause. The project was completed on September 1, 2024. Westwood claims approximately \$2.8 million in unpaid construction-management fees plus reimbursable expenses. Lakeshore disputes performance and alleges defective project management caused \$4.5 million in damages. Westwood commenced an action in the Ontario Superior Court of Justice on November 15, 2024 - 14 months after substantial completion. The Statement of Claim was served at Lakeshore's Toronto head office. Lakeshore delivered a Statement of Defence and Counterclaim alleging breach of contract, negligence, and breach of fiduciary duty, claiming damages of \$4.5 million. Lakeshore's counterclaim contains the following pleading: 'Westwood acted with reckless disregard for the project, was grossly negligent and unfit for the assignment.' No specific particulars of the alleged negligent conduct are given. During discovery, Westwood demands production of (a) Lakeshore's internal project-team emails (about 30,000 emails); (b) a draft expert report commissioned by Lakeshore's counsel after the dispute arose; (c) Lakeshore's counsel's memo to management in March 2024 advising on potential exposure; and (d) Lakeshore's board minutes from January 2025 considering settlement options. Following 18 months of pleadings, discovery, and motions, Westwood serves an offer to settle for \$2.4 million on April 1, 2026. Lakeshore does not respond. Westwood moves for summary judgment under R. 20 on the basis that the contract terms and unpaid invoices are conceded; the dispute reduces to whether Westwood's performance met contractual standard - a question Westwood argues can be resolved on documentary record plus limited oral evidence. The motion judge denies summary judgment, finding genuine issues require a trial. Trial proceeds for 15 days. The court awards Westwood judgment for \$2.6 million on November 30, 2026 and dismisses Lakeshore's counterclaim. Lakeshore wishes to appeal.

YOUR TASK

Advise on the following issues across the action lifecycle: (a) Was Westwood's commencement timely under the Limitations Act, 2002, and did the Ontario court have jurisdiction over Lakeshore? (5 marks) (b) Should Westwood seek to strike portions of Lakeshore's counterclaim or seek particulars? (5 marks) (c) For each of the four documents Westwood demands during discovery, what is the proper Schedule treatment under R. 30? (8 marks) (d) Is the motion judge's denial of summary judgment subject to appeal, and on what standard? (4 marks) (e) Costs: how does the court apply R. 49.10 to the trial outcome? (4 marks) (f) What is the appropriate appellate route and standard of review for Lakeshore's appeal of the trial judgment? (4 marks)

EXAMINER'S GUIDE

Strategy: This is a 30-mark integrating question simulating a full exam. Treat each lettered sub-part as a distinct mini-IRAC. Time budget: 9 min on (a), 9 on (b), 14 on (c), 7 each on (d), (e), (f).

Cases MUST cite: Limitations Act, 2002, ss.4, 5; Van Breda 2012 SCC 17; R. 25.06; R. 25.11; Hunt

v Carey; R. 30.02-30.03; Pritchard 2004 SCC 31; Blank 2006 SCC 39; Lizotte 2016 SCC 52; Hryniak 2014 SCC 87; R. 49.10; CJA ss.6, 19; Housen v Nikolaisen 2002 SCC 33.

Part (a) - Limitations and Jurisdiction (5 marks)

APPLICATION - Limitations Act + Van Breda

Limitations: The two-year basic period under Limitations Act, 2002, s.4 ran from discoverability under s.5. Westwood's claim for unpaid fees was discovered, at the latest, on substantial completion (September 1, 2024) when Lakeshore failed to pay the final invoice. Action commenced November 15, 2024 - well within two years. **Limitation period met.**

Jurisdiction: Lakeshore is an Ontario corporation with head office in Toronto - Van Breda factor (a) **defendant resident in Ontario** is satisfied. Additionally, the contract was made in Toronto - factor (d). The project work was performed in Ontario. Multiple presumptive connecting factors are present. Jurisdiction simpliciter is unimpeachable.

Forum non conveniens: Lakeshore could not credibly argue Alberta is more appropriate - the contract was made and performed in Ontario; relevant evidence and witnesses are in Ontario. Ontario is plainly the appropriate forum.

Part (b) - Striking the Counterclaim Pleading (5 marks)

APPLICATION - R. 25.06 + R. 25.11 + R. 25.10

The pleading at issue: 'Westwood acted with reckless disregard for the project, was grossly negligent and unfit for the assignment.' This is conclusory: no specific acts, dates, or omissions are pleaded.

R. 25.06(1): Every pleading must contain a concise statement of the **material facts**. Bare conclusions of law are insufficient.

R. 25.06(8): Allegations of negligence and breach of fiduciary duty require **full particulars** - the specific acts, when, by whom, the standard breached, and the resulting harm.

R. 25.11: 'reckless disregard', 'grossly negligent', 'unfit' - absent particulars - are scandalous as character attacks unconnected to facts.

Strategic recommendation: Westwood should move for **particulars under R. 25.10** as the first step - less aggressive than striking, and gives Lakeshore an opportunity to specify. If Lakeshore cannot supply meaningful particulars, Westwood should follow with an R. 21.01(1)(b) motion to strike the negligence and fiduciary-duty claims as disclosing no reasonable cause of action under the Hunt v Carey 'plain and obvious' standard.

Part (c) - Discovery: Schedule Treatment (8 marks)

APPLICATION - Item-by-Item Privilege Analysis

(a) Lakeshore's internal project-team emails (30,000): Highly relevant under R. 30.02. **Schedule A** - produced. The volume is substantial; the parties should agree to an R. 29.1 discovery plan informed by the **Sedona Canada Principles** for managing electronically stored information. R. 29.2 proportionality may be invoked to limit relevance review (e.g., date-bounded, custodian-bounded, keyword-filtered).

(b) Draft expert report commissioned after the dispute arose by Lakeshore's counsel: Created for the dominant purpose of contemplated or actual litigation - **Schedule B - litigation privilege** under Blank v Canada, 2006 SCC 39. Listed in Schedule B with 'litigation privilege' stated as the ground; not produced.

(c) Lakeshore counsel's memo to management on exposure (March 2024): Confidential

communication between counsel and corporate client for purpose of legal advice - **Schedule B - solicitor-client privilege** under Pritchard v Ontario (Human Rights Commission), 2004 SCC 31. Permanent class privilege.

(d) Board minutes from January 2025 considering settlement: Communications considering settlement, in the corporate decision-making record. The minutes themselves are not privileged simply because they discuss settlement - they reflect the corporate decision. **However**, any portions disclosing **settlement communications with Westwood** are protected by **settlement privilege** under Lizotte v Aviva, 2016 SCC 52. The proper approach: produce the minutes with redactions for settlement-privileged content, with the redacted portions described in Schedule B.

Part (d) - Appeal of Summary Judgment Denial (4 marks)

APPLICATION - Final/Interlocutory + Standard

Final or interlocutory: Denying summary judgment does not finally dispose of any substantive right - the action proceeds. **Interlocutory order** under Hendrickson v Kallio.

Court: Divisional Court under CJA s.19(1)(b).

Leave: Required under R. 62.02. Westwood must show conflicting decisions or good reason to doubt correctness with importance.

Standard of review: Application of the Hryniak v Mauldin (2014 SCC 87) two-stage analysis is mixed fact and law - **palpable and overriding error** per Housen v Nikolaisen (2002 SCC 33), unless an extricable legal error (wrong test) is shown. Realistically, Westwood's appeal of the denial faces a high hurdle; trial is now the proportionate course.

Part (e) - Costs After Trial (4 marks)

APPLICATION - R. 49.10 Application

Westwood's offer: \$2.4 million on April 1, 2026; trial result \$2.6 million. Result more favourable than the offer. **R. 49.10(1) triggered:** Westwood is entitled to **partial indemnity costs to April 1, 2026 and substantial indemnity costs from that date forward**, subject to court discretion under R. 57.01.

Time periods: Roughly 18 months of pleadings/discovery/motions before the offer (partial indemnity); trial preparation and 15 days of trial after the offer (substantial indemnity). Substantial-indemnity portion will be the larger.

Likely award: Several hundred thousand dollars in costs, scaled to the size of the action. Court may discount for the unsuccessful summary judgment motion if Westwood was unreasonable in pursuing it (R. 57.01(1)(f) / R. 20.06).

Part (f) - Lakeshore's Appeal of the Trial Judgment (4 marks)

APPLICATION - Appeal Route + Standard

Final or interlocutory: Trial judgment for \$2.6 million is **final**.

Court: \$2.6 million is well above the \$50,000 Divisional Court threshold under CJA s.19(1.2). Appeal lies directly to the **Court of Appeal for Ontario** under CJA s.6(1)(b).

Leave: Not required for appeal of a final order to the Court of Appeal.

Time limit: 30 days under R. 61.04.

Standard of review: Per Housen v Nikolaisen, 2002 SCC 33: pure questions of law - **correctness**; questions of fact - **palpable and overriding error**; mixed questions - generally palpable and overriding. The trial judge's findings on Westwood's performance and Lakeshore's counterclaim are

factual; Lakeshore must identify either a palpable and overriding factual error or an extricable legal error in the application of the contract or negligence test.

CONCLUSION

This integrated action illustrates the full Civil Procedure lifecycle: limitations and jurisdiction at commencement (Part (a)); pleadings discipline through R. 25 (Part (b)); discovery and privilege under R. 30 with Pritchard, Blank, and Lizotte (Part (c)); appellate gatekeeping under *Hendrickson v Kallio* for interlocutory orders (Part (d)); R. 49.10 cost premium following a successful settlement offer (Part (e)); and the *Housen* standard of review on the substantive trial appeal (Part (f)). The single most important habit - across all six parts - is to pair each procedural step with the Rule, the leading case, and the application to the specific facts.

END OF PRACTICE Q&A

This concludes the 12-question Civil Procedure Practice Q&A. Used together with the NCA Civil Procedure Strategic Notes (doctrinal architecture) and Exam Templates (40 IRAC scaffolds), it forms a complete examination-preparation system.

Final reminder. Civil Procedure is open-book. The official examiner direction is that ‘**reference must always be made to the Rules, statutes, and cases**’ - failure to do so will negatively affect the grade. Every paragraph in your exam answer should pair the Rule number, the sub-rule, the leading case, and a specific factual application. This single habit is the difference between a marginal pass and a strong score.

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